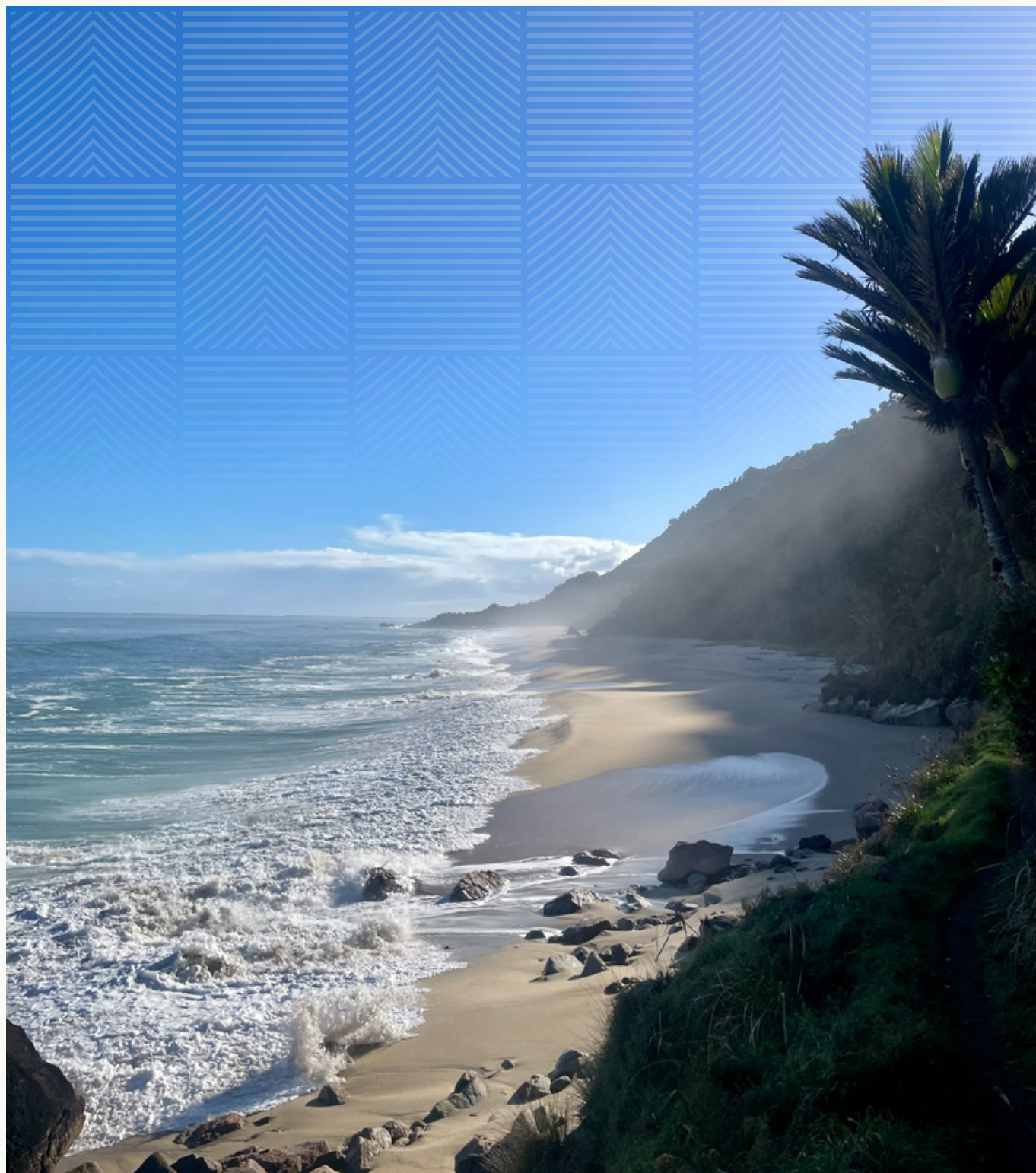


Monetary Policy Statement.

May 2025



Policy assessment.

OCR lowered to 3.25%

The Monetary Policy Committee today voted to lower the OCR by 25 basis points to 3.25 percent.

Annual consumers price index inflation increased to 2.5 percent in the first quarter of 2025. Inflation expectations across firms and households have also risen. However, core inflation is declining and there is spare productive capacity in the economy. These conditions are consistent with inflation returning to the mid-point of the 1 to 3 percent target band over the medium term.

The New Zealand economy is recovering after a period of contraction. High commodity prices and lower interest rates are supporting overall economic activity.

Recent developments in the international economy are expected to reduce global economic growth. Both tariffs and increased policy uncertainty overseas are expected to moderate New Zealand's economic recovery and reduce medium-term inflation pressures. However, there remains considerable uncertainty around these judgements.

Inflation is within the target band, and the Committee is well placed to respond to domestic and international developments to maintain price stability over the medium term.

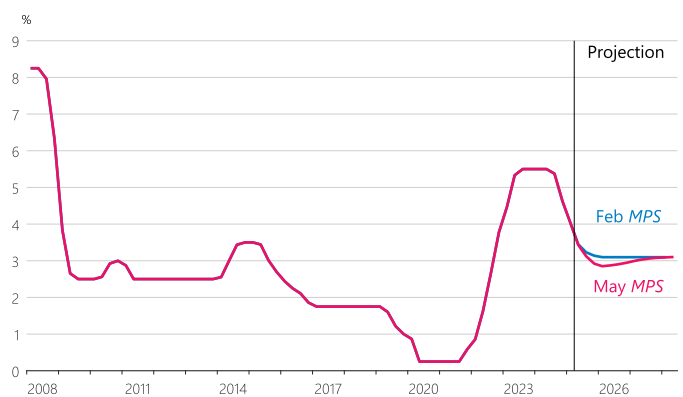
Meitaki, thanks.



Christian Hawkesby
Governor

Figure i.1

Official Cash Rate (OCR) (quarterly average)



Source: RBNZ estimates.

Monetary Policy Framework

The Monetary Policy Committee operates and makes decisions under the Monetary Policy Framework that comprises the following key components:

- the *Remit*;
- the *Charter*;
- the *Code of Conduct*; and
- the monetary policy strategy.

The corresponding documents to these components and additional information can be accessed on our website under the Monetary Policy Framework.

Report and supporting notes published at:

www.rbnz.govt.nz/monetary-policy/monetary-policy-statement

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Thank you to RBNZ staff for photography in this report.

Cover: Kahurangi National Park. Photo: Magnus Åstebøl

Monetary Policy Statement.

May 2025

Contents

Policy assessment	ii
1. Summary record of meeting	2
2. Economic assessment and monetary policy outlook	6
Box A: Scenarios for the effect of tariffs on the New Zealand economy	10
Box B: Introducing the Tara-ā-Umanga, Business Expectations Survey (BES)	21
3. Global economy and financial markets	24
4. Special topics	33
4.1 How does uncertainty affect the New Zealand economy?	35
4.2 The transmission of higher global tariffs to the New Zealand economy	39
5. Economic projections	45
6. Appendices	51
Appendix 1: Statistical tables	52
Appendix 2: Chart pack	57

The projections were finalised on 22 May 2025. The Official Cash Rate (OCR) projection incorporates an outlook for monetary policy that is consistent with the MPC's monetary policy assessment, which was finalised on 28 May 2025.

Chapter

01

Summary record of meeting

Chapter 1.

Summary record of meeting

Annual consumers price index (CPI) inflation remains within the Monetary Policy Committee's 1 to 3 percent target band. While measures of inflation expectations have increased, core inflation and spare productive capacity in the economy are consistent with inflation returning to the target mid-point over the medium term. Elevated export prices and recent reductions in the OCR are expected to support a modest pace of growth in the New Zealand economy, even as increased global tariffs are expected to slow global economic growth.

Higher global tariffs and policy uncertainty are expected to lower global growth

The Committee noted that projections for global economic activity have weakened since the February *Statement*, reflecting the shift towards protectionist policies in some major economies. There have been downward revisions to economic growth projections for China and the US, reflecting the scale of tariff increases between these two countries.

The Committee noted that, in addition to the direct effect of higher tariffs, increased policy uncertainty in the international economy is likely to weigh on global investment and consumption. As well as uncertainty about tariff retaliation, it was unclear how countries would respond with fiscal and monetary policies. For example, it is possible that China could respond to weaker economic activity with a sizeable fiscal stimulus. US fiscal policy could place strains on the sustainability of its public debt. More generally, the uncertain trajectory of geoeconomic fragmentation and the decline in the quality of macroeconomic institutional arrangements were likely to result in precautionary behaviour by firms and households. In aggregate, economic growth in New Zealand's main trading partners is expected to remain below potential over 2025.

Headline inflation within New Zealand's trading partner economies has fallen over the past year. Projections for inflation for most of our trading partners have been revised down in recent quarters. The main exception is the US, where higher tariffs are expected to increase inflationary pressure.

The New Zealand economy is starting to recover, after contracting over the middle of 2024

The Committee noted that spare productive capacity remains in the New Zealand economy. This is projected to dissipate over the medium term as the economy recovers. Elevated export commodity prices and lower interest rates are supporting overall economic activity in the New Zealand economy. The Committee noted that the full economic effects of cuts in the OCR since August 2024 are yet to be fully realised.

The Committee discussed conditions in New Zealand's labour market. Nominal wage growth is slowing, while firms report that it is easier to find workers. Employment growth is currently modest but expected to increase from the second half of the year in line with the broader economic recovery.

The announced increase in US tariffs will lower global demand for New Zealand's exports, particularly from Asia, constraining domestic growth. Heightened global policy uncertainty is expected to weigh on business investment and consumption in New Zealand.

On balance, the Committee expects the increase in global tariffs to result in less inflationary pressure in the New Zealand economy. However, as discussed below, there is significant uncertainty about this assessment, depending on whether the impact of tariffs proves to be predominantly demand- or supply-side in nature. The domestic monetary policy response will focus on the medium-term implications for inflation.

Domestic fiscal policy is assessed as being broadly neutral from a medium-term inflation perspective, relative to February *Statement* projections. The change announced in *Budget 2025* enabling businesses to bring forward depreciation allowances is assumed to increase investment activity. However, the inflationary consequences of this policy are assumed to be offset by an announced reduction in government spending.

Annual CPI inflation is expected to remain in the target band, and converge to the mid-point

The Committee discussed domestic inflationary pressure. New Zealand's annual CPI inflation increased to 2.5 percent in the March 2025 quarter, largely in line with previous projections. Most annual core inflation measures continued to decline in the March 2025 quarter, and all are now within the target band for headline CPI inflation.

Annual CPI inflation is projected to increase to 2.7 percent in Q3 2025, then return to near the 2 percent target mid-point from 2026. The near-term increase in headline inflation includes higher food and electricity price inflation.

Non-tradables inflation is expected to continue to decline, consistent with spare productive capacity in the economy. Annual tradables inflation is projected to remain around 1 percent over the medium term, reflecting below average global growth and falling inflation within our trading partners.

The financial system remains stable

The Committee noted that most wholesale interest rates have fallen since the February *Statement*, resulting in lower mortgage and term deposit rates. The average interest rate on the stock of mortgages is expected to continue to decline in coming quarters as more mortgage holders refix at lower fixed-term interest rates. Close to half the stock of mortgages is due to reprice during the June and September 2025 quarters.

The Committee was briefed on financial system stability. While non-performing loans in the housing and small business sectors have increased in line with the past contraction in the economy, the banking system remains well capitalised and in a strong financial position to support customers. The Committee agreed that there is currently no material trade-off between meeting inflation objectives and maintaining financial system stability.

The Committee was briefed on the status of the Large Scale Asset Purchase programme. The Committee noted there has been increased volatility in domestic wholesale interest rates, reflecting increased global policy uncertainty. Despite this volatility, wholesale interest rate markets continue to function, without impeding monetary policy transmission.

Risks around the economic outlook are heightened

The Committee discussed several key risks around the central projection. Measures of business and household inflation expectations have increased. The Committee discussed whether this increase reflected factors like higher food prices and current reporting on the inflationary effect of tariffs in the US. The projections assume that medium-term inflation expectations remain consistent with the target mid-point. Some Committee members emphasised the risk that these increases reflect a more generalised and persistent increase in inflation expectations.

The Committee discussed the medium-term outlook for import prices. Members noted that a less productive global economy, against a background of deglobalisation, presents an upside risk to the current import price projection.

The Committee noted downside risks to the outlook for export prices. This reflects a weaker global growth outlook and the potential for a quicker international supply response to high prices from global meat and dairy producers.

The Committee noted the risk that large economic policy shifts in overseas economies could lead to additional volatility in financial markets. For example, concerns about US debt sustainability could lead to increased bond yields or declines in global asset prices.

There are alternative scenarios for the domestic outlook

In addition to the uncertain scale and duration of tariff policies, it is unclear how these will transmit to the New Zealand economy. Some members emphasised that the costs of trade could increase more than currently assumed, as global supply chains adapt to trade barriers and geoeconomic fragmentation. This could result in greater domestic medium-term inflationary pressure than in the central projection. Other members emphasised that policy uncertainty could lower global investment, and trade diversion could lower import prices by more than currently assumed. This could, instead, lower medium-term inflationary pressure relative to the central projection.

Two scenarios in the May *Statement* highlight how the realisation of these risks could affect the outlook for the domestic economy. These scenarios represent just two of many paths the economy may take as higher tariffs and uncertainty transmit through the system. They are intended to broadly highlight the trade-offs and considerations facing the Committee should these risks eventuate.

The Committee noted that, in practice, a broad range of factors contribute to its monetary policy decisions. Its response to any of these risks would depend on economic conditions at the time, the outlook for inflationary pressure, and its secondary objectives of avoiding unnecessary instability in the economy and having regard to financial system stability.

The Committee voted to reduce the OCR to 3.25 percent

The Committee agreed on the projected central path for the OCR.

The Committee discussed the options of keeping the OCR on hold at 3.50 percent or reducing it to 3.25 percent. The case for lowering the OCR to 3.25 percent highlighted that CPI inflation is in the target range and there is significant spare capacity in the economy. Measures of core inflation and wage inflation have continued to decline. In addition, there is a weaker outlook for domestic activity and inflationary pressure relative to the February *Statement*, because of international developments. Some members also emphasised that non-tradable inflation was currently being boosted by administered prices. Given these factors, a 25 basis point decline in the OCR was seen as consistent with medium-term price stability.

In considering the merits of holding the OCR unchanged at 3.50 percent for this meeting, some members noted that this would allow the Committee to better assess whether increased economic policy uncertainty was having a noticeable impact on household and firm behaviour. An unchanged OCR could also further consolidate inflation expectations around the target mid-point, and guard against the risk of higher-than expected inflation from the supply-side effects of increased tariffs.

On Wednesday 28 May, the Committee took the decision to vote on the two options. By a majority of 5 votes to 1, the Committee agreed to decrease the OCR by 25 basis points from 3.50 percent to 3.25 percent.

Inflation is within the target band, and the Committee is well placed to respond to both domestic and international developments to maintain price stability over the medium term.

Attendees:

Reserve Bank members of MPC:

Christian Hawkesby (Chair), Karen Silk, Paul Conway

External MPC members:

Bob Buckle, Carl Hansen, Prasanna Gai

Treasury Observer:

Dominick Stephens

MPC Secretary:

Adam Richardson

Chapter 02

Economic assessment and monetary policy outlook

Chapter 2.

Economic assessment and monetary policy outlook



Key points

Inflation remains within the Monetary Policy Committee's (MPC's) 1 to 3 percent target band. Lower interest rates and elevated export prices are supporting a recovery in economic activity following declines during the middle of 2024. The economy expanded 0.7 percent in the December 2024 quarter. Timely indicators of activity suggest this recovery has continued into 2025, although at a subdued pace. New Zealand's export sector continues to perform strongly, with high dairy and beef prices supporting the agricultural sector. Annual Consumers Price Index (CPI) inflation was 2.5 percent in the year to the March 2025 quarter and is forecast to remain in the MPC's 1 to 3 percent target band over the medium term.

Higher global tariffs and elevated economic uncertainty dampens economic activity in New Zealand and in our trading partners. Changes to US trade policy and the responses of other countries have caused global economic uncertainty. The introduction of new tariffs is causing changes in global trading patterns. Uncertainty about future tariff levels and the global readjustment will likely mean some firms delay or cancel investment plans. As a result, the outlook for economic growth and inflation has decreased in most of New Zealand's trading partners. The medium-term effects of this shift in global trade practices will depend on factors including the degree of trade diversion, supply-chain adjustments, where tariff levels eventually settle, and financial market responses.

Significant spare capacity remains in the New Zealand economy. The output gap — the difference between GDP and the economy's potential output — is estimated to be significantly negative. We assume that global economic uncertainty will weigh on the output gap in the near term, before a recovery begins at the end of 2025.

A buoyant agricultural sector helps offset some of this global weakness. We forecast the unemployment rate to increase slightly further to 5.2 percent, before declining from late 2025.

Non-tradables inflation has continued to decline, as have most measures of core inflation. Annual non-tradables inflation declined from 4.5 percent in the December 2024 quarter to 4.0 percent in the March 2025 quarter. Annual tradables inflation increased to 0.3 percent in the March 2025 quarter. Most annual core inflation measures continued to decline in the March 2025 quarter. These are now all within the target band for headline CPI inflation. Survey measures of inflation expectations have increased, particularly at shorter terms. We expect annual CPI inflation to increase to 2.7 percent in the September 2025 quarter, before returning close to the 2 percent target mid-point.

Conditional on the central economic outlook, we project that the OCR will decline further, supporting the recovery in economic activity. The outlook for output, inflation, and interest rates is subject to considerable uncertainty. The MPC has been reducing the OCR since August 2024 as inflationary pressure has eased. Compared to the February *Statement*, the OCR is projected to decline to a lower level. This mostly reflects higher global tariffs and the resulting weaker outlook for global growth. The degree of spare capacity in the economy and adaptation of wage- and price-setting behaviour to a low-inflation environment are consistent with inflation remaining sustainably near the 2 percent target mid-point. Lower interest rates are expected to increase demand and output in the economy over the medium term, contributing to a reduction in spare capacity over the next few years.



Economic assessment

Economic activity has started to recover, following a contraction during the middle of 2024

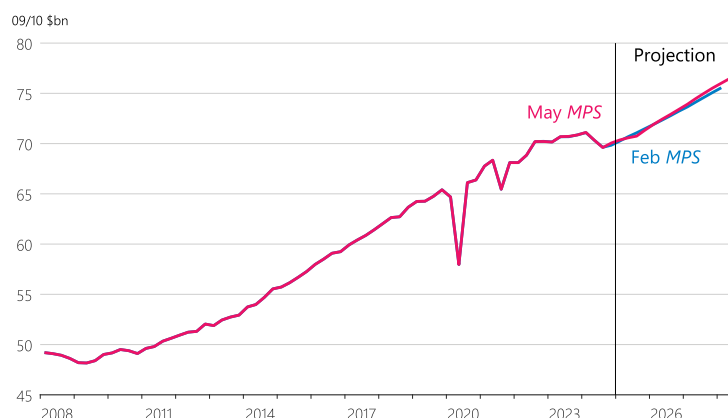
GDP growth of 0.7 percent in the December 2024 quarter marked the end of a sharp economic contraction during the middle of 2024 (figure 2.1). Primary industries and the services sector accounted for growth in the quarter. Activity in the primary sector increased by 1.1 percent, reflecting growth in the dairy and forestry sectors. Construction activity contracted further in the quarter, while retail trade and manufacturing recovered only slightly following sharp declines.

We expect economic growth to continue into 2025, but at a slow pace

We expect the economy will keep growing over 2025, but at a slower pace than assumed in the February *Statement*. We project 0.7 percent growth for the 2025 year. Global trade disruptions and high uncertainty weigh on the economic recovery. Slower expected growth also reflects recent momentum in timely indicators and that interest rate sensitive sectors, such as residential construction and retail, have recovered less than expected at the end of 2024.

Figure 2.1

Production GDP (seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Note: Production GDP is a measure of the volume of production and is expressed in 2009/2010 prices.

Timely indicators of activity suggest slow growth. The Truckometer Heavy Traffic Index, the Performance of Manufacturing Index, and the Performance of Services Index suggest GDP grew modestly in the March 2025 quarter. The Quarterly Survey of Business Opinion (QSBO) suggests activity was broadly flat. The RBNZ's new GDP nowcasting model, *Kiwi GDP*, suggests the economy grew 0.6 percent in the March 2025 quarter. Some timely indicators suggest growth may slow further in the June 2025 quarter.

In April, the US announced a range of tariffs for most of its trading partners (see chapter 3). This caused a sharp rise in measures of global economic uncertainty (see chapter 4.1). Higher tariffs are likely to transmit to the New Zealand economy through different channels (see chapter 4.2). These tariffs were in addition to previous tariffs and consisted of two elements: a baseline 10 percentage point increase to begin on 5 April (which included New Zealand), and further tariffs for countries with a large goods trade surplus with the US, to begin on 9 April. Most of the more severe tariffs have temporarily been put on hold.

Global trade policy changes and uncertainty are headwinds to growth in New Zealand, but lower domestic interest rates and stronger earnings for some exporting industries are supporting demand. OCR

cuts to date, and expectations for further cuts ahead, have led to lower mortgage and deposit interest rates in recent months (see chapter 3). Lower interest rates will continue to transmit to economic activity over time. Global dairy and beef prices have increased over the past year. Prices for these goods have remained high despite growing trade tensions, in contrast to declines in some other commodity prices. This is supporting export sector earnings and domestic economic activity. In contrast, growth in real government spending has slowed, dampening overall growth in demand.

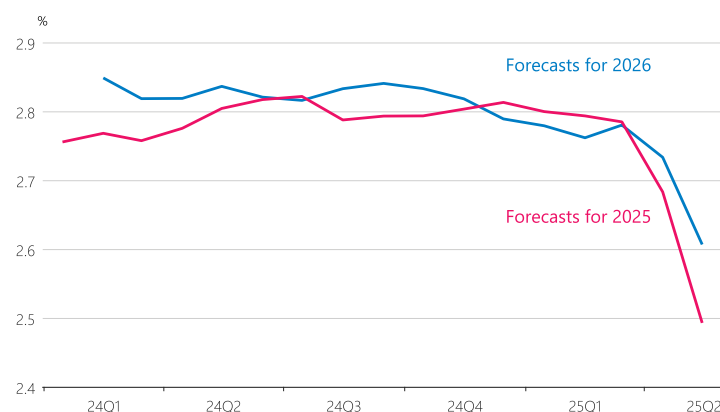
The effect of tariffs on growth in countries other than the US and China is generally expected to be modest but negative. This

is consistent across most model simulations and external forecasts. The smaller magnitude of effects for these countries likely reflects their lower direct exposure to US tariffs. Instead, most impacts stem from indirect effects, such as reduced demand from key trading partners and shifts in global supply chains. Fiscal and monetary policy may also ease in many economies, offsetting some of the effects of weaker global demand. Estimates of the effect of tariffs on the global economy and New Zealand are highly uncertain. **Box A** presents the effects of just two of many possible trade scenarios on the New Zealand economy.

The global growth outlook has deteriorated

The global growth outlook has weakened materially since the February *Statement* in response to US trade policy changes (see chapter 3). Consensus forecasts for trading-partner GDP growth have been revised downwards from 2.8 percent in 2025 and 2026 to 2.5 percent and 2.6 percent, respectively (figure 2.2). Revisions have been broad-based, with the largest downward revisions to growth in the US and China. In aggregate, growth in our trading partners is expected to remain below potential over 2025.

Figure 2.2
Evolution of trading-partner growth forecasts
(calendar year)



Source: Bloomberg, RBNZ estimates.

Note: This figure shows the evolution of Bloomberg consensus forecasts for annual GDP growth in New Zealand's trading partners in the 2025 and 2026 calendar years.

Box A

Scenarios for the effect of tariffs on the New Zealand economy

Tariffs will influence the New Zealand economy through a range of channels (see chapter 4.2). Our confidence in the direction, magnitude, and materiality for the New Zealand economy of each channel varies. This uncertainty would remain even if we knew what ‘final’ tariff policy settings would be.

Scenario analysis helps us test the sensitivity of our economic outlook to the assumptions we have made regarding the effects of higher tariffs. This box presents just two of many possible paths for the New Zealand economy in the context of higher tariffs.

We have chosen these scenarios as they illustrate a key uncertainty in our economic outlook, which is whether the tariffs prove to be predominantly demand- or supply-side in nature. The nature of the global changes in tariffs has implications for the trade-offs the MPC may face. If the effects are predominantly demand driven, economic activity and inflation will tend to move in the same direction and the medium-term implications for monetary policy are relatively clear. If the tariffs have larger supply-side effects, we may see a period of weaker economic activity but higher inflation. In this situation, the MPC faces an unfavourable trade-off between stabilising the output gap and employment, and keeping inflation low and stable.

As outlined in chapters 4.1 and 4.2, various channels could lead to higher or lower inflationary pressure, particularly via the prices of our imported goods. Tariffs reduce aggregate demand in the global economy. Higher tariffs reduce US demand for imports from the rest of the world. Uncertainty about tariff policy may also weigh on consumption and investment demand globally. These demand-side factors reduce output and inflationary pressure in New Zealand directly, by reducing the price and quantity of New Zealand’s exports to the US, and indirectly, by lowering aggregate demand in New Zealand’s other trading partners.

However, tariffs may also increase global costs of production. Some firms in the US will face a higher cost of imported intermediate inputs. Existing global supply chains may be disrupted and lead to less efficient production as firms try to avoid tariffs. All else equal, these supply-side factors reduce output in New Zealand, but increase inflationary pressure.

We present two scenarios in which our trading partners’ GDP growth is lower than assumed in our central projection, but the extent to which this reflects weaker demand or supply differs (table A.1). In both scenarios, the negative effect of high uncertainty on economic activity is also larger than in the central projection.

- In the first scenario, more significant increases in overseas production costs result in higher imported inflationary pressure.
- In the second scenario, a weaker global economy and beneficial trade diversion for our imports contribute to weaker demand for our exports and lower imported inflation than assumed in the central projection.

In these scenarios, we assume that monetary policy in New Zealand responds from the December 2025 quarter, to return annual headline CPI inflation to its target mid-point over the medium term.

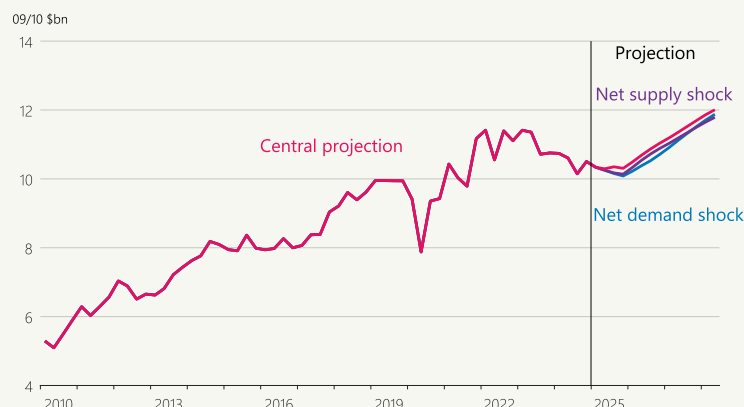
That monetary policy does not respond immediately reflects that it is difficult to identify the underlying nature of such global shocks in real time. In practice, the MPC assesses and updates monetary policy settings through time as it learns from the flow of information and economic data. The speed and magnitude of any monetary policy response would depend on the strength of the signal from incoming data.

Table A.1

Key assumptions in the scenarios

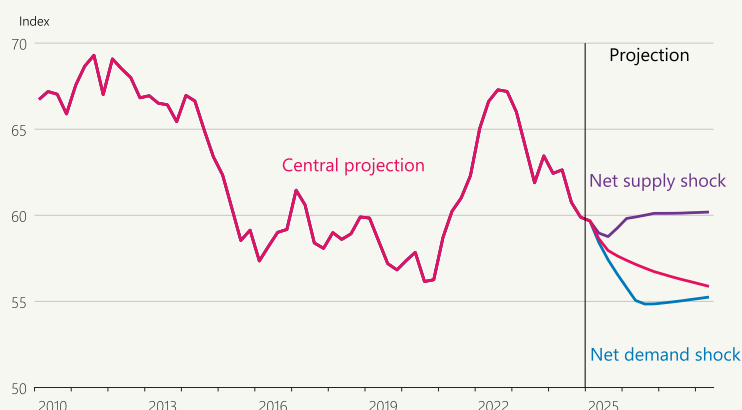
	Scenario 1: Negative global supply shock and higher uncertainty	Scenario 2: More negative global demand shock and higher uncertainty
Description	In addition to weak demand, New Zealand faces a persistent negative global supply shock. Our import prices are higher due to reductions in the efficiency of global supply chains.	Trading-partner growth declines more than the central projection assumption, reducing demand for our exports. Our import prices are lower in the near term, as exporters in other economies reduce their prices in response to weak global demand and divert more products to New Zealand.
World economy	Trading-partner GDP growth is about an additional 0.5 percentage points lower in the next year, mainly reflecting reduced global supply.	Trading-partner GDP growth is about an additional 0.5 percentage points lower in the next year, mainly reflecting reduced global demand.
Exports and imports	- New Zealand's export prices are unchanged relative to the central projection as global supply and demand forces largely offset. Export volumes are lower by about 0.6 percent due to weaker world demand. - Foreign currency prices for our imports are about 7 percent higher than in the central projection by the end of the forecast, as production costs persistently increase.	- Export prices are lower than otherwise by a peak of 4.5 percent. Export volumes are about 1.2 percent lower. - Import prices are 3.5 percent lower than otherwise at peak, but the effect wears off as trade-diversion effects wane.
Other	- The exchange rate depreciates about 2 percent in response to a lower outlook for our terms of trade. - The negative effect of uncertainty on domestic demand is assumed to be larger than in the central projection.	- The exchange rate depreciates about 1.5 percent in response to a weaker terms of trade and weaker export volumes. - The negative effect of uncertainty on domestic demand is assumed to be larger than in the central projection.
Monetary policy response	The OCR is higher from the December 2025 quarter, to return inflation to the target mid-point.	The OCR is lower from the December 2025 quarter, to return inflation to the target mid-point.

Figure A.1
Business investment
(seasonally adjusted)



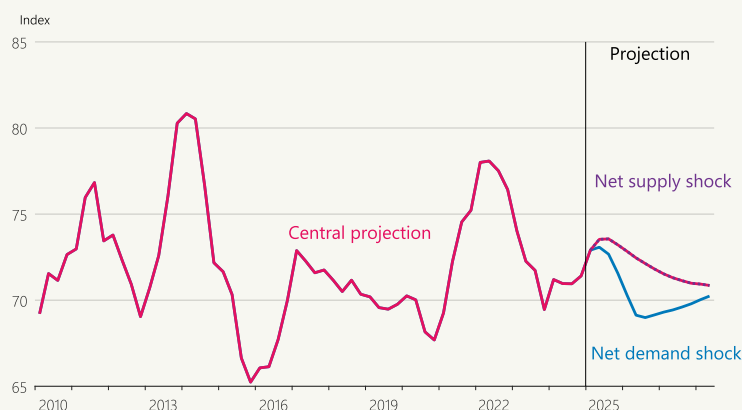
Source: Stats NZ, RBNZ estimates.

Figure A.2
Import prices
(real, foreign currency terms)



Source: Stats NZ, RBNZ estimates.

Figure A.3
Export prices
(real, foreign currency terms)

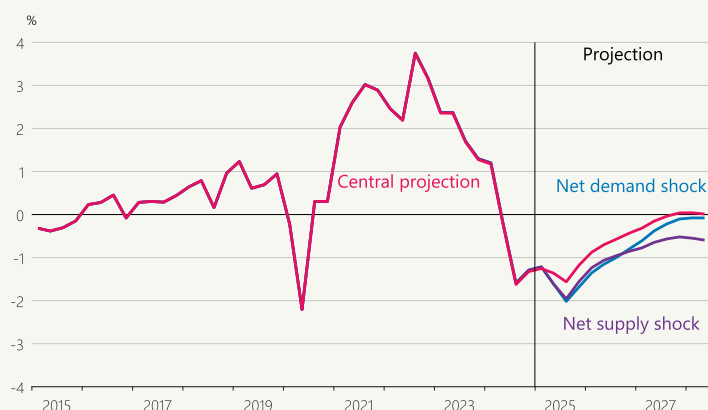


Source: Stats NZ, RBNZ estimates.

In the ‘negative global supply shock’ scenario, a higher OCR is needed to stabilise inflation, despite weakness in the economy from lower world output and increased uncertainty. This mainly reflects inflationary pressure from higher-than-otherwise import prices, and that this pressure is assumed to persist over the horizon relevant for monetary policy.

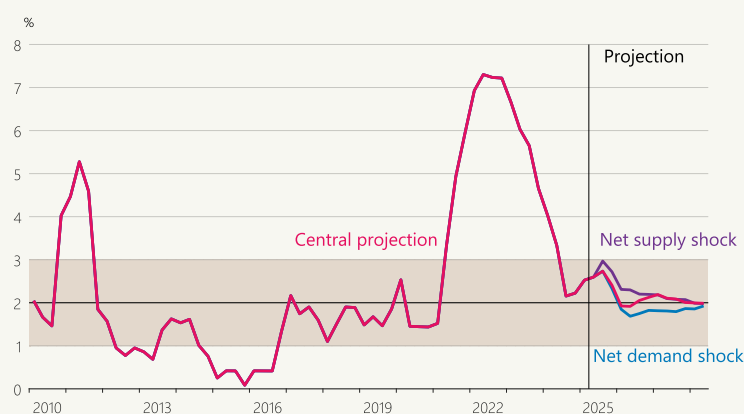
In the ‘more negative global demand shock’ scenario, a lower OCR is needed to stabilise inflation. Even though lower imported inflation is only temporary, the OCR remains lower for a prolonged period to offset the effect of weaker offshore demand on New Zealand’s output gap, returning inflation to the 2 percent target mid-point. Figures A.1 to A.6 show the assumed paths of import and export prices in these scenarios, and the projections for business investment, the output gap, inflation, and the OCR.

Figure A.4

Output gap*(share of potential, seasonally adjusted)*

Source: Stats NZ, RBNZ estimates.

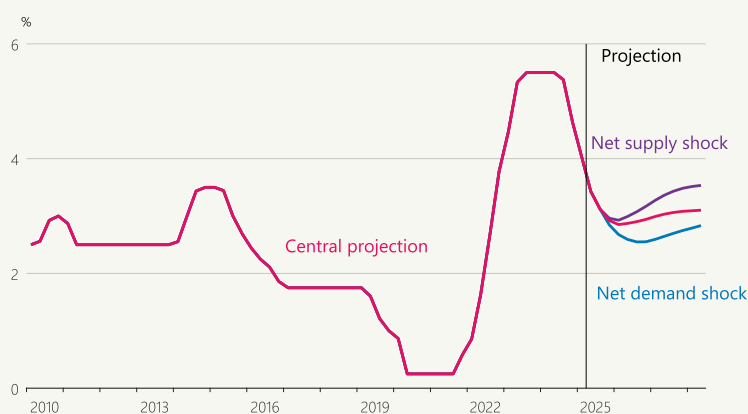
Figure A.5

CPI inflation*(annual)*

Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for inflation over the medium term.

Figure A.6

OCR*(quarterly average)*

Source: RBNZ estimates.

Many other scenarios, which we have not presented, are possible.

Such scenarios include an improvement in trade relations, more significant offsets from overseas fiscal and monetary policies, or a sharper downturn if weaker growth resulted in stresses to the global financial system. There are also uncertainties about other assumptions underlying our central projection (as outlined in chapter 5). We are aware of these possibilities and consider the balance of risks when setting monetary policy. While we will continue our usual monitoring of the domestic and global economy and financial markets, we will be looking particularly closely at the following:

- developments in global commodity prices and New Zealand's import and export prices;
- business surveys and business intelligence; and
- movements in trading-partner interest rates, risk premia, and the exchange rate.

Many countries are exposed to higher tariffs in similar ways to New Zealand. We will continue to monitor developments in our peer countries, and analysis and commentary by foreign policymakers.

Headline inflation in New Zealand's trading partners has declined over the past year.

Consensus forecasts for trading-partner inflation have steadily been revised down (figure 2.3). Across both 2025 and 2026, inflation is expected to be lower across all our trading partners other than the US, where tariffs are expected to increase inflation. The downwards revisions to inflation forecasts have been relatively small, and there is considerable uncertainty about how changes to global trade will flow through to prices.

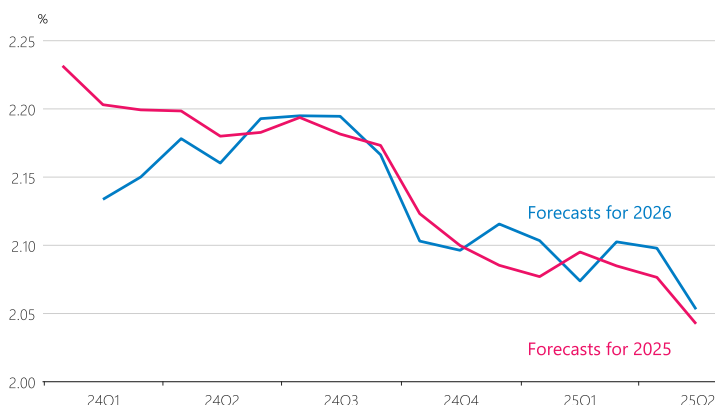
Central banks have not significantly adjusted their monetary policy stance in response to the evolving trade policies.

Financial market participants expect most central banks in advanced economies to continue reducing policy interest rates over the coming year. Market participants' expectations for policy rates are lower in most economies than at the time of the February *Statement*.

Global conditions are assumed to contribute to lower inflation in New Zealand

Declining inflation in our key trading partners and lower global commodity prices are likely to contribute to lower tradables inflation. Since the February *Statement*, the weaker outlook for global demand has contributed to some commodity prices falling considerably, especially those linked to global manufacturing and trade. Brent crude oil prices are about 10 percent lower since the February *Statement*, due to a weaker demand outlook and increased supply commitments from OPEC+ (figure 2.4). Although there is always uncertainty about the outlook for our import prices, this uncertainty is heightened due to recent developments in global trade policy (see chapter 4.1).

Figure 2.3
Evolution of trading-partner inflation forecasts
(calendar year)



Source: Bloomberg, RBNZ estimates.

Note: This figure shows the evolution of Bloomberg consensus forecasts for annual CPI inflation in New Zealand's trading partners in the 2025 and 2026 calendar years.

Figure 2.4
Brent crude oil prices



Source: Bloomberg.

World prices for some of New Zealand's export commodities have increased, particularly dairy and beef. Constrained dairy and beef supply globally has been a major contributor to higher prices. There is a risk that weaker global growth results in a decline in export prices during 2025. Higher export prices and lower import prices have caused New Zealand's terms of trade to increase significantly. All else equal, the income boost from a stronger terms of trade adds to inflationary pressure in New Zealand.

The New Zealand dollar exchange rate has appreciated since the February Statement.

Volatility in the New Zealand dollar trade-weighted index (TWI) has increased since the February *Statement*, largely due to US tariff policy announcements. In the weeks after the US's early April tariff announcement, broad US dollar weakness contributed to an appreciation in the New Zealand dollar (see chapter 3). Stronger export prices have also likely supported the New Zealand dollar exchange rate. All else equal, the stronger exchange rate reduces inflationary pressure in New Zealand.

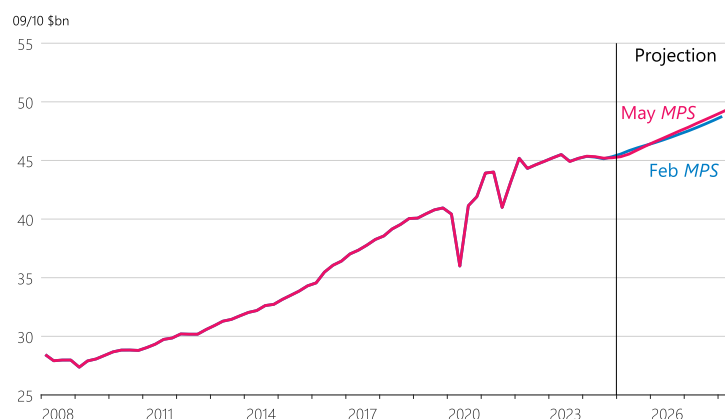
Household spending continues to be weak

Consumption grew by 0.1 percent in the December 2024 quarter, following small contractions in the June and September 2024 quarters. Weak household spending reflects previously restrictive interest rates, a weak labour market, subdued asset price growth, and below-average population growth. Household consumption is assumed to increase over the projection, supported by lower interest rates and higher population growth (figure 2.5). Consumption has been declining on a per capita basis since 2023.

Government expenditure is expected to decline in line with Budget 2025

Government expenditure (consumption and investment) remains high as a share of the economy, but is assumed to decline over the medium term in line with *Budget 2025* (figure 2.6). The outlook for government spending is lower than assumed in the February *Statement*, which was based on the *Half-Year Economic and Fiscal Update 2024*. The effect of the reduction in government spending in *Budget 2025* is assumed to be broadly offset by an increase in business investment resulting from the Investment Boost policy. This policy is expected to encourage business investment by enabling businesses to bring forward deductions for depreciation to the first year of asset ownership.

Figure 2.5
Private consumption
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 2.6
Government consumption and investment
(share of potential, seasonally adjusted)



Source: Stats NZ, NZ Treasury, RBNZ estimates.

Private investment is expected to be weaker due to heightened global uncertainty

Business investment grew by 3.5 percent in the December 2024 quarter, following declines in the previous three quarters.

Business investment in the December 2024 quarter was substantially higher than assumed, largely due to an increase in intangibles and plant, machinery, and equipment investment. We assume that business investment declines over the first half of 2025, reflecting high global economic uncertainty and material spare capacity in the economy.

We have updated and extended previous RBNZ research on the effect of uncertainty on economic activity in New Zealand

(see chapter 4.1). Consistent with previous research, we find that increases in uncertainty reduce business investment, household consumption, and economic activity. We assume a negative effect on economic activity, consistent with recent increases in uncertainty measures. High uncertainty is assumed to have a negative effect on activity over the next year, but this effect is assumed to wane over the medium term.

Residential investment declined 3.9 percent in the December 2024 quarter, a sharper contraction than the 0.9 percent decline forecast in the February Statement. This is a continuation of the decline in residential investment since its peak in 2021. Declining residential investment reflects weak demand due to previously high interest rates, lower house prices, and slower population growth.

Business and residential investment are assumed to recover over the medium term.

Business investment is assumed to increase as the uncertainty shock gradually dissipates, lower interest rates and high export earnings support demand, and spare capacity in the economy is reduced. The new Investment Boost policy is also assumed to support business investment. Residential investment is assumed to recover from the second half of 2025 as lower interest rates, increasing house prices, and higher population growth support demand for new housing.

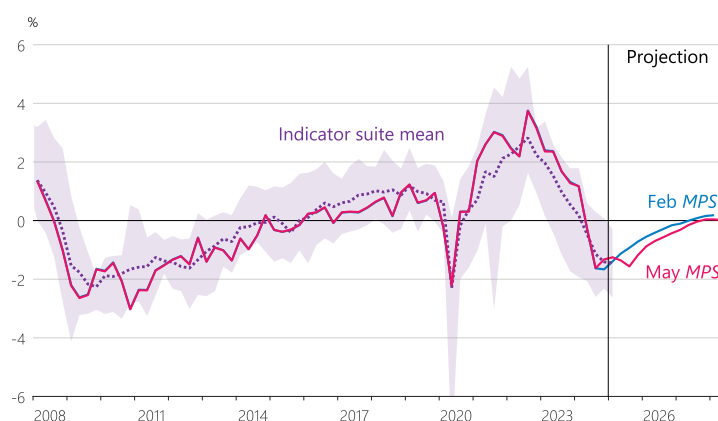
There is significant spare capacity in the New Zealand economy

Capacity pressures declined significantly during 2024, but lower interest rates are now supporting a recovery in economic activity. We estimate that the output gap was about -1.3 percent of potential GDP in the March 2025 quarter. Our suite of capacity pressure indicators and the larger-than-expected increase in GDP in the December 2024 quarter are consistent with a less negative starting point for the output gap than assumed in the February Statement (figure 2.7).

Figure 2.7

Output gap and indicator suite

(share of potential, seasonally adjusted)



Source: Stats NZ, NZIER, MBIE, RBNZ estimates.

Note: The shaded area shows the range of indicators in the suite. The vertical line shows the final quarter of published GDP data.

Heightened uncertainty and weaker trading partner growth are assumed to cause the output gap to become more negative in the near term.

We assume the output gap will reach a low point of -1.6 percent of potential GDP in the September 2025 quarter. We then assume the output gap begins to recover as the effects of lower interest rates start to outweigh the negative impact of weaker global growth and higher uncertainty. Potential growth is expected to remain low, reflecting subdued productivity growth and slow growth in labour supply due to low net immigration.

Labour market conditions have softened

Demand for labour has declined. While employment grew by 0.1 percent in the March 2025 quarter, this was slower than the growth in the working-age population. As a result, the employment rate fell for the seventh consecutive quarter. Job vacancies have remained flat in recent months and are well below pre-COVID-19 levels. Fewer job vacancies are also contributing to a lower number of job transitions. Participation in the labour market has fallen slightly, consistent with some people having left the labour market as there are fewer job prospects.

A range of measures suggest that labour market capacity pressures eased substantially during 2024 and into early 2025.

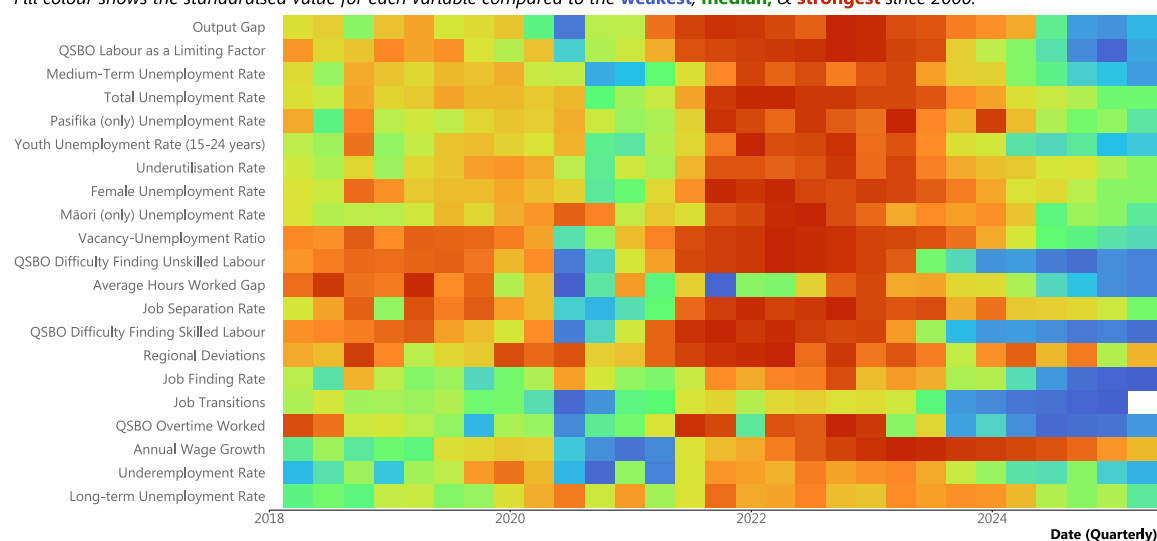
Most measures of labour market tightness are below their average levels since 2000 (figure 2.8). Businesses continue to report that it is easy to find workers, and movement between jobs has reduced. The unemployment rate remained at 5.1 percent in the March 2025 quarter but is expected to increase in the near term (figure 2.9). The unemployment rate is assumed to peak at 5.2 percent in the June 2025 quarter before declining in line with a recovery in economic growth.

Low demand for labour and lower inflation are contributing to slower nominal wage growth.

Annual same-job wage growth, as measured by the Labour Cost Index (LCI, ordinary and overtime, private sector) was 2.6 percent in the March 2025 quarter. This is substantially lower than its peak of 4.5 percent in early 2023. Growth in broader wage measures have also declined. Wage growth is assumed to ease further, reflecting the usual lags between labour market pressure and wage adjustments.

Figure 2.8
Labour market indicators

Fill colour shows the standardised value for each variable compared to the **weakest**, **median**, & **strongest** since 2000.



Sorted by rank correlation with output gap, top (highest) to bottom (lowest).

Source: Stats NZ, NZIER, MBIE, RBNZ estimates.

Note: See Ball (2024), 'Assessing and communicating labour market indicators of inflationary pressure', *Analytical Note*, Reserve Bank of New Zealand.

Net immigration is relatively low

Following a surge in 2022 and 2023, net immigration had declined rapidly (figure 2.10). The decline in net immigration reflected both a decline in arrivals and an increase in departures. This is likely due to weakness in New Zealand's labour market compared to other countries, most notably Australia. In recent months, the pace of net immigration has been stronger than assumed in the February *Statement*. This partially reflects higher international student arrivals. In annual terms, net immigration remains low compared to recent history. We assume that it increases over the medium term as the New Zealand labour market recovers.

Subdued net immigration is assumed to have broadly offsetting effects on inflationary pressure. Slower population growth is reducing consumption growth and demand for housing. However, slowing net immigration is also resulting in slower labour supply growth and therefore lower growth in potential output.

Inflation is expected to increase in the near term, then return to near the MPC's 2 percent target mid-point

Annual headline CPI inflation increased to 2.5 percent in the March 2025 quarter.¹ Annual non-tradables inflation continued to decrease but was higher than expected in the February *Statement*, at 4.0 percent. Annual tradables inflation increased to 0.3 percent, after being negative for the previous two quarters.

Figure 2.9

Unemployment rate

(unemployed people as a share of the labour force, seasonally adjusted)

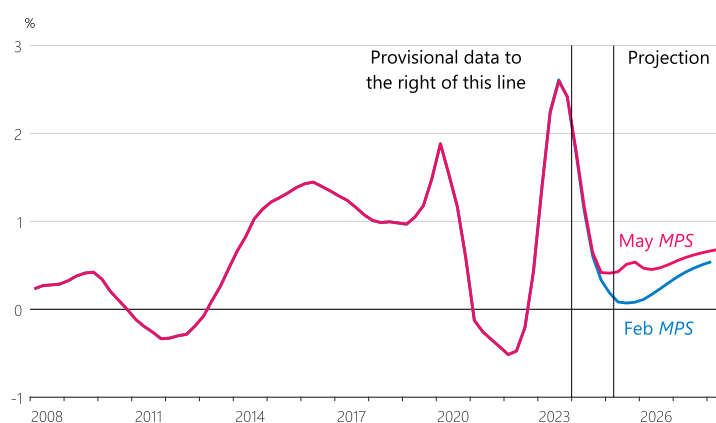


Source: Stats NZ, RBNZ estimates.

Figure 2.10

Net immigration

(annual, share of working-age population)



Source: Stats NZ, RBNZ estimates.

¹ Stats NZ announced on 1 May that increases in vehicle relicensing fees were erroneously excluded in the March 2025 quarter data. If these data had been included, annual headline inflation would have been 2.6 percent, not 2.5 percent. Stats NZ will not be revising the released data, instead the vehicle relicensing fees will be accounted for in the June 2025 quarter.

Most measures of annual core inflation declined further in the March 2025 quarter.

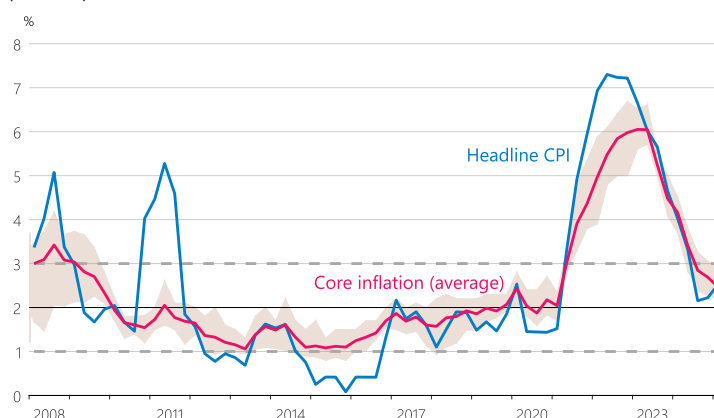
They have declined steadily since 2023, consistent with emerging spare capacity in the economy, and are within the MPC's headline inflation target band (figure 2.11). Declines in core inflation measures imply that the underlying trend in inflation is converging towards the 2 percent target mid-point for CPI inflation.

Surveyed inflation expectations have increased, but most measures remain consistent with the MPC's inflation target range. Our existing Survey of Expectations shows that professional forecasters' and business leaders' inflation expectations have risen but remain close to the 2 percent target mid-point (figure 2.12). Our new Business Expectations Survey shows similar results for a broad representative sample of firms at 1- and 2-year horizons, but higher inflation expectations for longer horizons (see [box B](#)). Households' expectations, which tend to be higher, have increased more sharply at shorter horizons. This may reflect uncertainty about inflation caused by recent increases in global tariffs.

Annual tradables inflation was positive in the March 2025 quarter, after being negative for the previous two quarters. Annual tradables inflation increased from -1.1 percent to 0.3 percent, in line with our February *Statement* (figure 2.13). Prices for some food items such as dairy, meat, and fruit have increased recently. This is assumed to support tradables inflation in the near term. However, these increases are more than offset by lower petrol prices and a higher New Zealand dollar exchange rate, resulting in a lower outlook for tradables inflation over the next two years than in the February *Statement*. We project annual tradables inflation to peak at 1.4 percent in the September 2025 quarter and then remain around pre-COVID-19 average levels.

Figure 2.11

Headline and core inflation measures (annual)

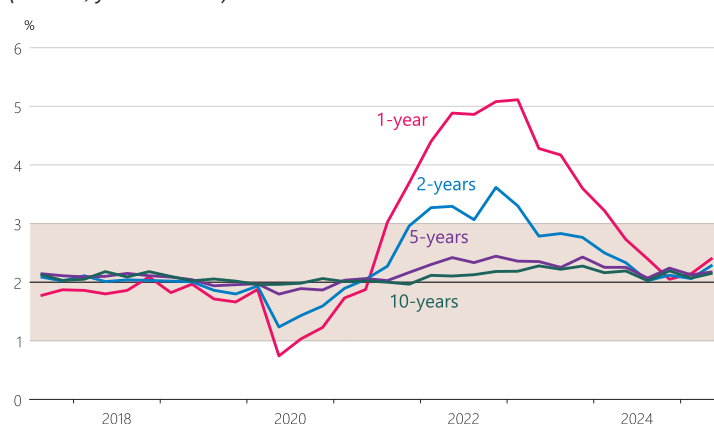


Source: Stats NZ, RBNZ estimates.

Note: The dashed lines represent the MPC's 1 to 3 percent target range for inflation over the medium term. The shaded area shows the range of core inflation measures. The core inflation measures include the sectoral factor model, factor model, trimmed mean (30%), weighted median, and CPI excluding food and energy.

Figure 2.12

Inflation expectations of forecasters and business leaders (annual, years ahead)

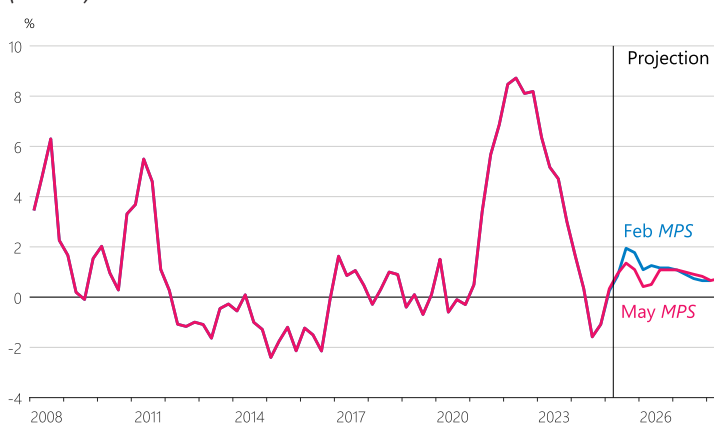


Source: RBNZ's Survey of Expectations.

Note: The shaded area represents the MPC's 1 to 3 percent target range for inflation over the medium term.

Figure 2.13

Tradables inflation (annual)



Source: Stats NZ, RBNZ estimates.

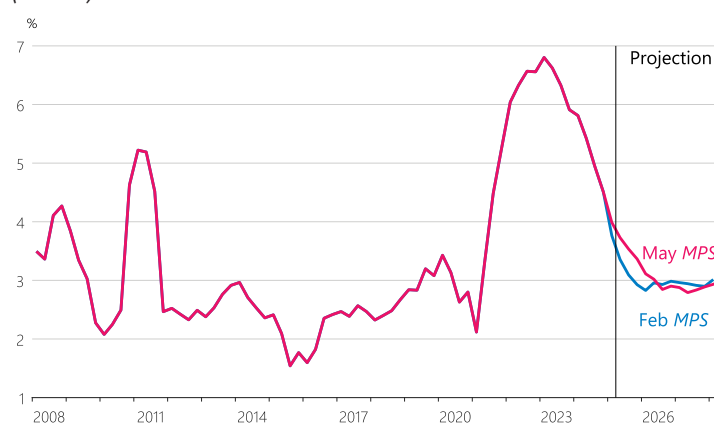
Annual non-tradables inflation continued to decline, falling from 4.5 percent in the December 2024 quarter to 4.0 percent in the March 2025 quarter (figure 2.14).

This was higher than the 3.8 percent expected at the time of the February *Statement*. The upside surprise was largely accounted for by higher domestic airfares and household energy prices. While non-tradables inflation remains elevated, it has become less broad-based over time. This reflects easing capacity pressures and price-setting behaviour adapting to a low-inflation environment. Government administered and policy-affected price changes, such as local council rates, are contributing significantly to non-tradables inflation at present, and are expected to continue to add volatility to some price categories over the coming year.

Spare capacity in the economy is expected to flow through to lower cost pressures and non-tradables inflation over time, but administered price increases are likely to remain high in the near term. Household energy price inflation has increased substantially over the past year, and will rise further in the near term. Increases in electricity lines charges announced by the Commerce Commission will add to electricity prices in the June 2025 quarter. This is on top of a relatively high underlying rate in this category recently, partially reflecting higher wholesale electricity prices. Additionally, local authority rate increases occur in the September quarter. While rate increases are likely to be lower on average than last year, they are still substantially higher than historical averages, adding significantly to inflation. Non-tradables inflation is expected to decline more slowly over 2025 than in the February *Statement*, partly due to persistent inflation in administered price categories, but is lower thereafter due to more spare capacity in the economy.

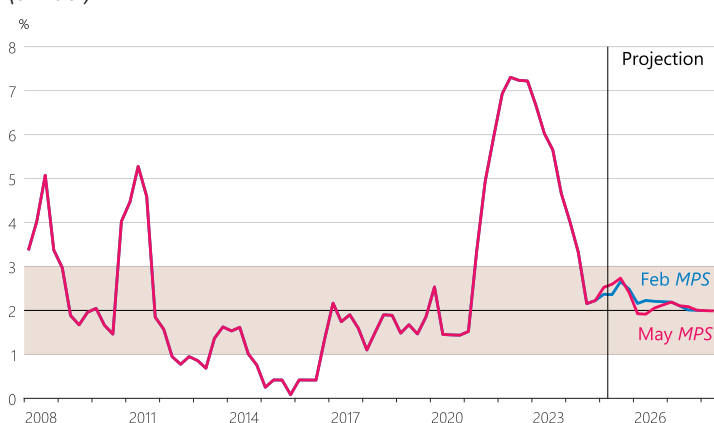
Annual headline inflation is forecast to remain within the 1 to 3 percent target range, and remain near the target mid-point from 2026 (figure 2.15). The slower decline in non-tradables inflation results in slightly higher near-term headline inflation than expected in the February *Statement*. From 2026, this is more than offset by more spare capacity in the economy, lower petrol prices, and the higher New Zealand dollar exchange rate. Interest rates are lower to offset these downwards pressures on inflation. Annual CPI inflation is assumed to increase to a peak of 2.7 percent in the year to the September 2025 quarter, before declining close to 2 percent from 2026.

Figure 2.14
Non-tradables inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Figure 2.15
CPI inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Note: The shaded area represents the MPC's 1 to 3 percent target range for inflation over the medium term.

Box B

Introducing the Tara-ā-Umanga, Business Expectations Survey (BES)

On 21 May 2025 the RBNZ launched the Tara-ā-Umanga, our comprehensive, economy-wide, Business Expectations Survey (BES). The new representative sample survey enables population estimates of economy-wide expectations and breakdowns by business size and industry.² The sample size is over 350 responding businesses each quarter – a ten-fold increase compared with the existing Survey of Expectations (SOE). Our understanding of business inflation dynamics will be enriched over time with microdata research and analysis, including distributional and longitudinal analysis.

Our existing Survey of Expectations will remain with no immediate scope changes. The SOE sample has been carefully chosen to cover a range of professional forecasters, economists, and industry leaders, but it is not a random probability sample. This means we are not able to make statistical inferences about a wider population beyond those responding to the survey.

Once the BES and the SOE have sufficiently long overlapping timeseries, we will re-focus the SOE as a survey of professional forecasters and economists. Industry leaders (currently in-scope), representing expectations for their firms, will be omitted in future as the BES will better cover business expectations. We plan to transition to a three-survey approach, separately covering households, experts, and businesses (table B.1).

Table B.1

Plans for RBNZ expectations surveys

Name	Coverage	Timeseries begin	Sample size
Tara-ā-Whare – Household Expectations Survey	Households	March quarter 1995	About 1,000 households
Tara-ā-Pūkenga – (Expert) Survey of Expectations ³	Professional forecasters and economists ⁴	September quarter 1987	About 40 respondents
Tara-ā-Umanga – Business Expectations Survey	Economy-wide	September quarter 2024	About 400 businesses

² The survey scope ('target population') is all New Zealand businesses and organisations with 6 or more employees.

³ Tara-ā-Pūkenga – (Expert) Survey of Expectations is a working title for the transition period. Naming will be reviewed once BES is well established.

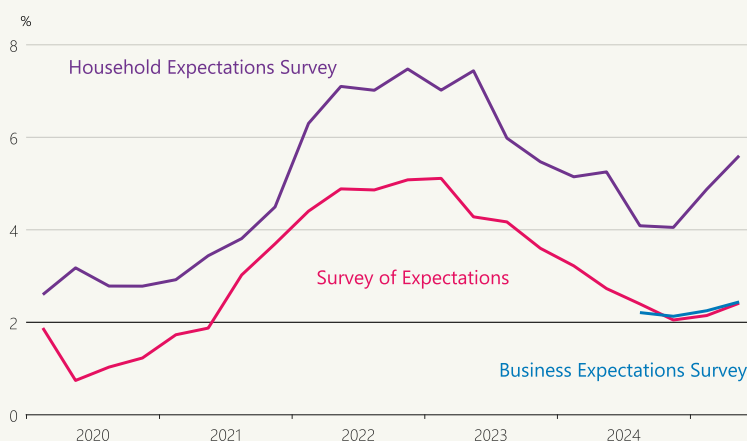
⁴ Current coverage also includes industry leaders.

Careful testing and development of the survey over the past year means we have a short historical timeseries from the September 2024 quarter. 1-year ahead mean inflation expectations from the BES show similar quarterly movements compared with the mean of SOE respondents. In comparison, short-horizon inflation expectations of households tend to be consistently higher, as reported from our Household Expectations Survey (figure B.1).

Mean inflation expectations from the BES at 5- and 10-years ahead are materially higher than those for 1- and 2-years ahead, and those from SOE respondents. This reflects a materially higher share of firms reporting very high inflation expectations (e.g. 10 percent or higher) at these terms. In contrast, weighted median inflation expectations from the BES were 2.5 percent across all horizons in the June 2025 quarter.⁵

The launch of the BES represents a significant uplift in our expectations data, but more observations are needed to enable us to estimate the relationship between these data and ultimate inflation outcomes. Inflation expectations are important because households and businesses reflect their expectations in their spending and price- and wage-setting decisions. Improving the quality of our expectation surveys is part of the wider response to our [2022 review of how we formulate and implement our monetary policy](#). In this review, we identified several areas where better data could support high-quality monetary policy decision-making.

Figure B.1
1-year ahead inflation expectations
(mean, annual)



Source: RBNZ.

⁵ Weighted median data were not released with the initial statistics release of the BES, but we will publish these in future quarters.



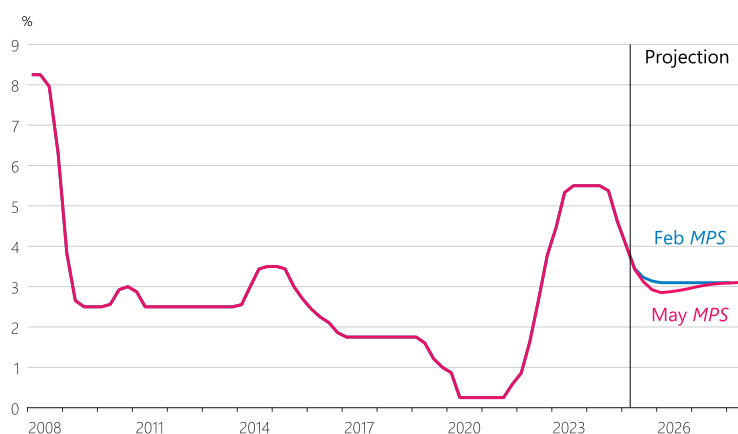
Monetary policy outlook

Conditional on the central economic outlook, we assume that the OCR will decline further, supporting the recovery in economic activity (figure 2.16). Higher export prices are adding to inflationary pressure. This is being offset by weak residential investment and household consumption, which is assumed to persist in the near term. Global trade developments and higher uncertainty are assumed to be disinflationary for New Zealand, meaning that additional monetary policy easing is required. Underlying inflationary pressures are assumed to ease as wage- and price-setters continue to adapt to a low-inflation environment. This allows interest rates to fall, supporting economic activity and contributing to a closing output gap and headline inflation near the 2 percent target mid-point over the medium term. Compared to the February *Statement*, the OCR is projected to decline to a lower level. This mostly reflects higher global tariffs and the resulting weaker outlook for global growth.

Figure 2.16

OCR

(quarterly average)



Source: RBNZ estimates.

Chapter

03

Global economy and financial markets

Chapter 3.

Global economy and financial markets

Key points

Global tariffs have increased materially in recent months. Since the February *Statement*, the US has raised tariff rates on most of its trading partners and across a range of products (see chapter 4.2). Recent developments, including temporary pauses and partial de-escalation agreements, have eased tensions. However, we expect global tariff rates to remain elevated over the forecast. The outlook for global trade policy remains highly uncertain.

Financial market participants and economic forecasters expect global growth to slow, inflation to remain near central bank targets, and monetary policy to ease further. Elevated tariffs and heightened uncertainty have increased the dispersion of forecasts for trading-partner growth. In the US and China, growth is projected to slow materially in 2025. In most other countries, growth is also forecast to be negatively affected, but to a lesser extent. Inflation across most of our trading partners is anticipated to remain close to target. Outside the US and Canada, higher tariffs are expected to be disinflationary over the medium term. Market participants' expectations imply further policy rate cuts by major central banks. However, recent central banks' communications point to a high degree of uncertainty in their outlooks.

Financial markets have experienced volatility in response to tariff announcements. In early April 2025, US equity markets fell sharply, and measures of implied volatility increased to levels not seen since March 2020. However, subsequent announcements of temporary tariff pauses supported a rebound in equity prices. Since the February *Statement*, global equity indices have declined modestly, credit spreads have widened, and sovereign yield curves have steepened. Commodity prices, particularly crude oil, have fallen due to weaker global demand and increased supply. In contrast, New Zealand's export prices have continued to increase. The US dollar has weakened as financial market participants' expectations for US growth have been revised lower relative to other economies, and as US policy uncertainty has increased.

Domestic financial conditions have loosened since the February *Statement*. Volatility in global financial markets spilled over to increased volatility in domestic wholesale interest rates and the New Zealand dollar exchange rate. Domestic wholesale interest rate curves have steepened, with shorter-term rates falling by more than longer-term rates. The New Zealand dollar has appreciated on a trade-weighted basis, primarily due to US dollar weakness. Retail interest rates, such as mortgage and term deposit rates, have decreased.

Global economic conditions

Global tariffs have increased materially

Since the February *Statement*, the US has introduced new tariffs on imports from almost all of its trading partners, including New Zealand. This has included a baseline tariff increase of 10 percentage points on nearly all US imports, alongside a 25 percentage point increase on many Canadian and Mexican goods, and a 30 percentage point increase on most Chinese imports. The US has imposed additional tariffs on aluminium, steel, and automobile imports (see chapter 4.2).

The outlook for global tariff settings remains highly uncertain. This largely reflects the speed and extent of change in the tariff policies over recent months. In April, China was subject to a tariff of 145 percent and responded with a retaliatory tariff of 125 percent on the US. Many countries are currently negotiating new trade arrangements with the US and among themselves, which may lead to further changes in tariff rates. Nonetheless, we expect global tariffs to remain higher over our forecast horizon than at the start of the year.

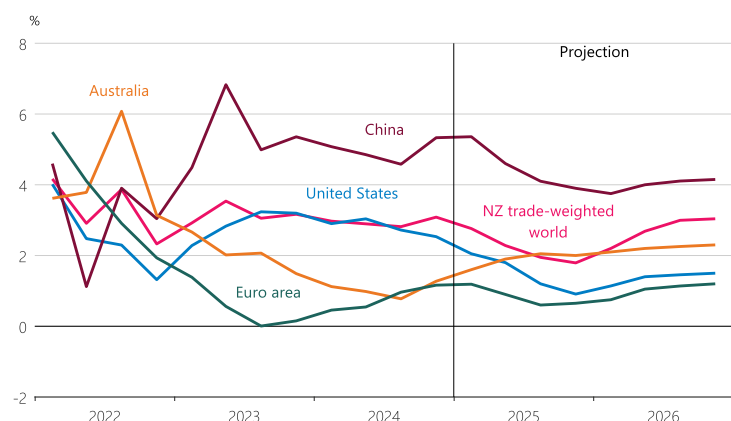
Global economic growth is expected to slow

The variability in forecasts for global economic growth has increased in line with higher uncertainty. This largely reflects the degree to which tariff policies have changed over recent months, but also the complexity of modelling how higher global tariffs could affect economic activity. Ultimately, the effect of recent tariff changes on global growth will depend on the persistence of higher tariffs, the ability of firms to adjust, and the policy responses of affected economies.

Consensus forecasts are for GDP growth in our trading-partner economies to be slow over coming years (figure 3.1). However, the strength of growth remains uneven across regions. Higher global tariffs are expected to have the largest negative impact on the US and China. Growth in these economies in 2025 is projected to slow relative to 2024. In contrast, growth in Australia is expected to strengthen modestly from current below-trend rates. In Europe, growth is anticipated to remain broadly stable, with the adverse effects of higher tariffs partly offset by recently announced fiscal support measures. Growth is expected to decline across Asian economies, particularly those with large export sectors and exposure to the US.

Figure 3.1

Trading-partner GDP growth (annual)



Source: Haver Analytics, Bloomberg, RBNZ estimates.

Note: Projections show consensus forecasts from Bloomberg for individual economies and RBNZ forecasts for the world (trade-weighted).

Recent fiscal and monetary policy announcements in China will likely offset some of the negative effect of increased tariffs.

Authorities have reiterated their commitment to achieve their “around 5 percent” GDP growth target for 2025. They are implementing a range of fiscal measures to stabilise the housing market and increase household consumption. The People’s Bank of China has also eased monetary policy, with reductions in reserve ratio requirements and other policy interest rates. As New Zealand’s largest trading partner, the scale and effectiveness of China’s stimulus measures will likely have an important influence on the demand for New Zealand exports.

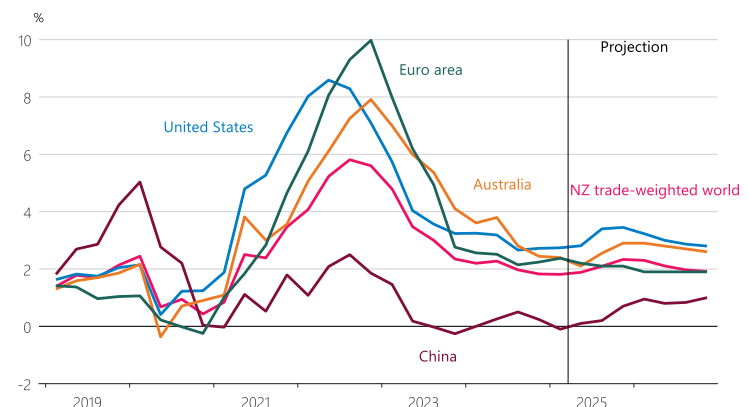
Global economic activity data do not yet show the broad effect of higher tariff rates. US import demand increased rapidly as businesses and consumers increased purchases of foreign goods prior to the implementation of the bulk of US tariffs. However, high-frequency data of scheduled cargo volumes, and Chinese trade data for April, suggest trade between the US and China has fallen materially since tariffs were implemented. The fall in Chinese trade volumes with the US has been partly offset by an increase to other destinations. International surveys of manufacturing business conditions also suggest new orders and export orders are falling across many of our trading partners.

Tariff announcements have contributed to a deterioration in global household and business confidence and increased uncertainty. In recent months, business and consumer sentiment measures have declined across most of New Zealand's key trading partners, with the largest falls observed in the US. Survey-based and news-derived measures of global uncertainty have increased sharply. Elevated uncertainty and subdued confidence are assumed to weigh on global economic activity in addition to the direct effects of higher tariffs, as households and businesses adopt more cautious spending, investment, and hiring decisions (see chapter 4.1).

Global inflationary pressure is expected to remain subdued

Annual inflation in New Zealand's trading partners was 1.8 percent in the March 2025 quarter. This is lower than in 2024, but broadly unchanged since the February *Statement*. Inflation is expected to remain around this level through the remainder of 2025 and into 2026, although with differences across countries. Financial market participants expect the US to experience inflation above 2 percent, and forecasts for China are for lower inflation (figure 3.2).

Figure 3.2
Trading-partner inflation
(annual)



Source: Haver Analytics, Bloomberg, RBNZ estimates.

Note: Projections show consensus forecasts from Bloomberg for individual economies and RBNZ forecasts for the world (trade-weighted).

Higher global tariffs are expected to be inflationary in the near term in the US and Canada. In these economies, tariffs are expected to increase import prices and headline inflation, more than offsetting the disinflationary effects of weaker growth. Consistent with this, measures of near-term inflation expectations in the US have increased in recent months.

Lower export demand is expected to reduce economic activity for most of our other trading partners, and place downward pressure on inflation over the medium term. Lower commodity prices are also contributing to the reduced outlook for inflation in these economies. However, the overall inflationary effect of higher tariffs remains highly uncertain among our key trading partners. This will depend on how households, businesses, and policymakers respond to ongoing trade developments.

Global financial conditions

Market participants' expectations for central bank policy rates have fallen

Central bank decisions have diverged in recent months. Since the February *Statement*, the Reserve Bank of Australia (RBA), the Bank of England, and the European Central Bank (ECB) have lowered their policy interest rates, by 25, 25, and 50 basis points, respectively. These central banks noted that their decisions reflected weaker outlooks for growth and inflation, partly due to higher global trade barriers. In contrast, the US Federal Reserve (Fed) and Bank of Canada (BoC) kept policy rates unchanged at their latest meetings.

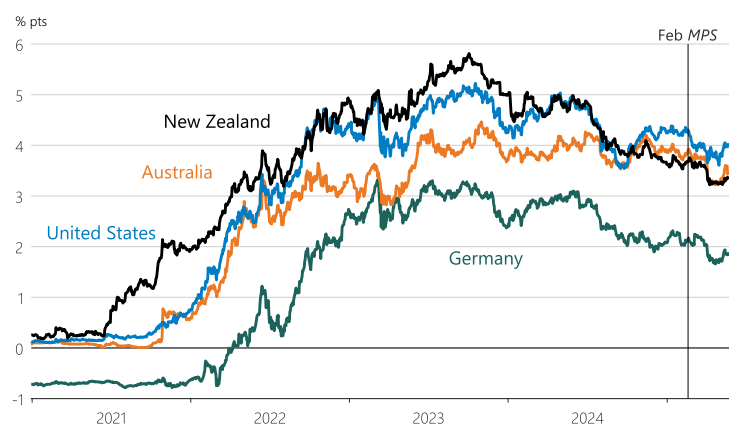
Major central bank communications continue to highlight uncertainty in their policy outlook. Both the Fed and the BoC have emphasised the challenge of setting monetary policy in an environment with upside risks to inflation and downside risks to growth. Similarly, a number of central banks have moved away from providing a single central projection for their economy and instead published illustrative scenarios to communicate the risks associated with heightened uncertainty.

Most major central banks are expected to ease policy further this year. Market pricing suggests the Fed, ECB, and RBA will reduce policy interest rates by around 50, 50, and 80 basis points, respectively, by the end of 2025. This is a faster pace of expected easing than at the time of the February *Statement*, largely in response to the weaker global economic outlook.

Shorter-term global government bond yields have declined

Since the February *Statement*, 2-year sovereign bond yields have fallen by around 10 to 40 basis points across advanced economies (figure 3.3). These declines reflect market participants' expectations for lower near-term policy rates. Meanwhile, 10-year yields are relatively unchanged over the same period, resulting in a steepening of government bond yield curves. Elevated economic uncertainty has contributed to increased volatility in government bond markets, prompting investors to demand higher compensation for holding longer-term bonds. This has been reflected in higher term premia.

Figure 3.3
2-year government bond yields



Source: Bloomberg.

Equity markets have been volatile in response to tariff announcements

Market volatility reached high levels following the recent tariff announcements. Following the 3 April (New Zealand time) US tariff announcement, the MSCI Global Equity Index declined by 11 percent over 5 days. Meanwhile, the VIX measure of implied volatility for US equities increased to levels last seen during the initial COVID-19 lockdowns. Since then, equity markets have recovered most of these losses, supported by announcements to pause or reduce tariffs and market participants' expectations for lower global policy interest rates.

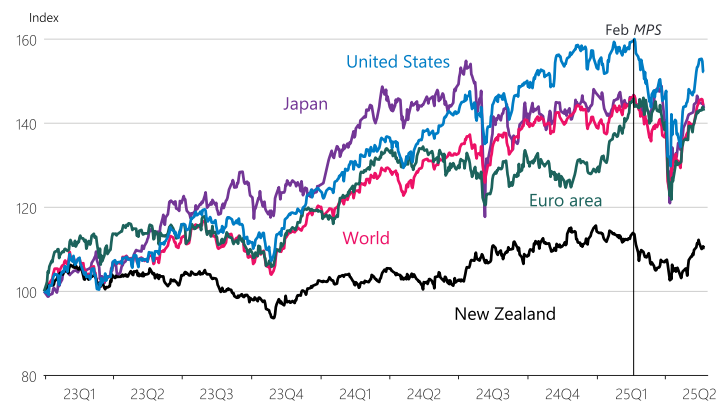
Equity prices have declined, particularly in the US. Since the February *Statement*, the MSCI Global Equity Index has declined by 1 percent, while the US S&P 500 has declined by 3 percent (figure 3.4). Corporate bond spreads have also widened. These movements reflect a weaker global economic outlook, expectations of lower corporate earnings, and a shift away from riskier assets amid elevated uncertainty.

Many global commodity prices have fallen, and the US dollar has weakened

Brent crude oil prices have declined 14 percent since the February *Statement*, due to a weaker global demand outlook and increased supply from OPEC+. Other commodity price indices, including those for agricultural products and metals, have also fallen over this period. However, this decline has been less than the fall in oil prices. In contrast, prices for New Zealand's key export commodities, including beef and dairy, have increased.

The US dollar has depreciated materially since the February *Statement*. The US Dollar Index (DXY), which tracks the US dollar against a basket of major currencies, has depreciated 9 percent since its peak in January 2025 and 6 percent since the February *Statement* (figure 3.5).

Figure 3.4
Global equity prices
(index=100 on 30 December 2022)



Source: Bloomberg.

Note: Daily closing values of headline equity price indices in local currency terms. Indices are S&P/NZX 50 (New Zealand), Euro Stoxx 50 (euro area), S&P 500 (United States), TOPIX (Japan), and MSCI World (World).

Figure 3.5
US Dollar Index



Source: Bloomberg.

US dollar weakness appears to reflect a reassessment of the US economic outlook and heightened policy uncertainty. After the US presidential election, the US dollar appreciated due to expectations of stronger economic growth and higher interest rates. However, the recent tariff announcements have prompted investors to reduce their expectations for US growth relative to other countries, thus reducing demand for US dollars. Tariff announcements have also significantly increased US policy uncertainty in recent months, which has reduced some financial market participants' willingness to hold US assets. Risk perceptions around US assets have increased.

Domestic financial conditions

Domestic financial conditions have loosened since the February Statement.

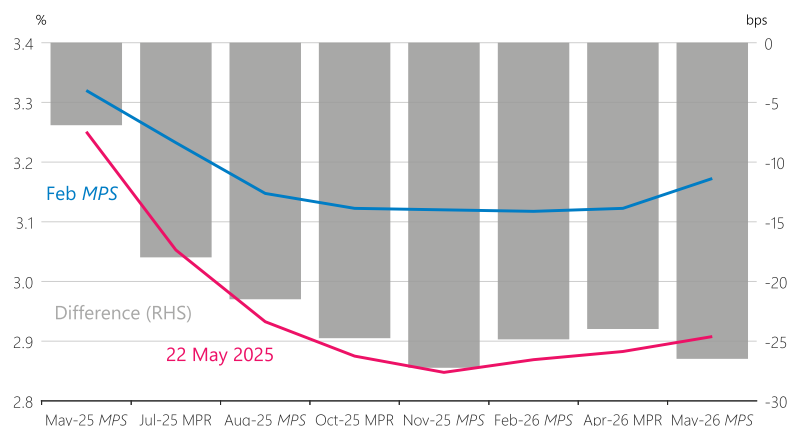
Volatility in global financial market conditions in response to US trade policy announcements has been a key influence on New Zealand's financial markets. Short-term wholesale interest rates, such as swap rates, have declined. This decline reflects financial market participants lowering their expectations for the OCR due to expectations for weaker global economic activity. Longer-term wholesale interest rates have fallen by less, or increased in some cases, due to increasing term premia. The New Zealand dollar trade-weighted index (TWI) has appreciated, and volatility in the exchange rate has increased. The share of new mortgage flows on floating and 6-month rates decreased significantly in March.

Near-term expectations for the OCR have decreased

Market participants expect further reductions to the OCR over the next year, and to a lower level than at the time of the February Statement (figure 3.6).⁶ Following the US trade policy announcement in early April, market participants lowered their expectations for the OCR this year and now expect the OCR to reach a trough of around 2.8 percent in November 2025.

Lower OCR expectations from financial market participants have contributed to lower domestic interest rate swap rates since the February Statement (figure 3.7).⁷ Shorter-term rates, which are more sensitive to domestic developments, decreased by more than long-term swap rates, which are sensitive to changes in longer-term risk factors. This means the swap curve has steepened.

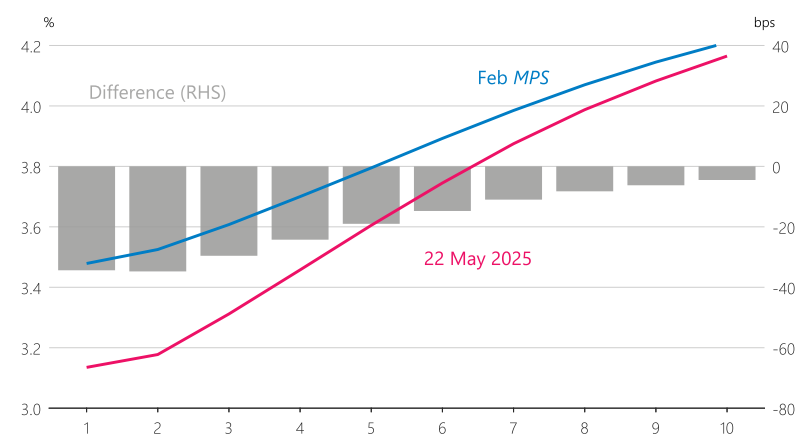
Figure 3.6
Financial market participants' expectations for the OCR



Source: Bloomberg.

Note: The blue line shows expectations for the OCR immediately before the February Statement. Each data point represents market expectations of the level of the OCR at a given point in the future, as measured by overnight indexed swap pricing.

Figure 3.7
New Zealand interest rate swaps
(terms in years)



Source: Bloomberg.

Domestic interest rate market volatility has increased in line with higher uncertainty regarding the global economic outlook. This peaked in early April, contributing to a period of lower liquidity in global sovereign bond markets, including in New Zealand. Market liquidity subsequently improved over recent weeks, largely due to the announcement of a 90-day pause to some of the US tariffs.

⁶ Market participants' expectations for the OCR can be inferred from prices for overnight indexed swap (OIS) contracts.

⁷ Interest rate swap rates are wholesale interest rates often used as a benchmark by financial institutions in setting other interest rates in the economy. They can provide a guide to market participants' expectations for the policy rate over specific horizons. They involve the exchange of fixed and floating interest rate payments between two parties over a specified period. The level of interest rate swaps will be approximately equal to market participants' expectations for average short-term market interest rates over the swap term.

The New Zealand dollar has appreciated

The New Zealand dollar TWI has increased by 1.2 percent since the February Statement (figure 3.8). Movements in the exchange rate have been more volatile than usual (figure 3.9). The New Zealand dollar TWI had appreciated by around 3 percent in late April, during the period of US dollar weakness. Since then, the US dollar appreciated slightly after China and the US temporarily agreed to reduce tariffs. This flowed through to a depreciation in the New Zealand dollar against the US dollar and other currencies that are tied to the US dollar.

Increases in New Zealand's export prices over recent months have supported the exchange rate. A decline in market participants' interest rate expectations in Australia relative to New Zealand has also supported an appreciation in the NZD/AUD exchange rate. Despite the appreciation in the New Zealand dollar TWI over recent months, it remains lower than it was over most of 2024.

Figure 3.8

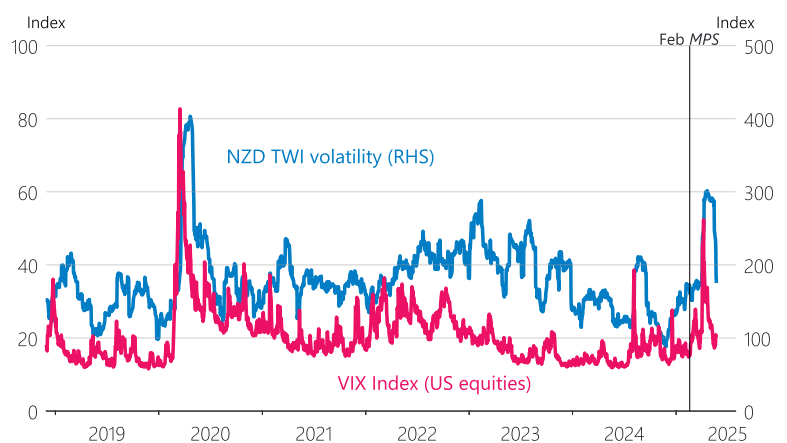
New Zealand dollar trade-weighted index (nominal)



Source: RBNZ.

Figure 3.9

VIX Index and NZD TWI volatility



Source: Bloomberg, RBNZ estimates.

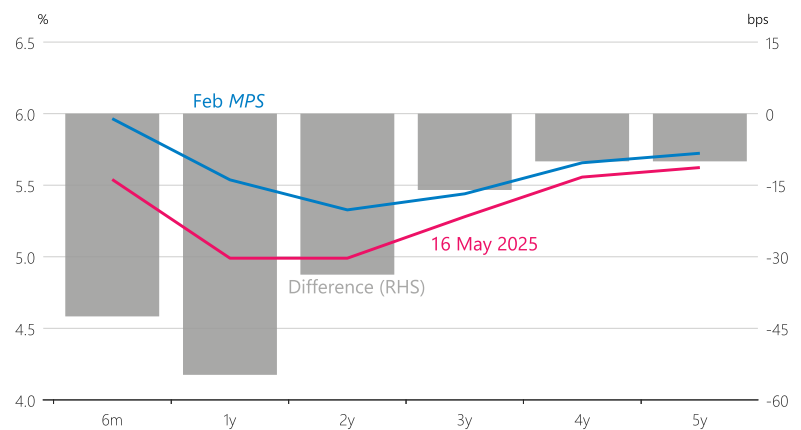
Note: NZD TWI volatility is approximated as the 30-day rolling standard deviation of the daily log-difference in the TWI.

Mortgage rates have decreased and the trend towards short-term refixing has started to reverse

Mortgage rates have decreased since the **February Statement**, with the largest falls at **1- and 2-year terms** (figure 3.10). Advertised rates at these terms have fallen below 5 percent for the first time since 2022. This comes as about 45 percent of mortgages are expected to be refixed over the June and September 2025 quarters. This will improve household cashflow over the next 6 months. Term deposit rates have also decreased across all terms.

The trend towards shorter-term mortgage rates over the last year has started to reverse (figure 3.11). In March 2025, around 60 percent of new mortgage flows were directed towards terms of less than 1-year, down from around 90 percent in the preceding 4 months.

Figure 3.10
New Zealand mortgage rates
(terms in years)



Source: interest.co.nz.

Note: The 6-month to 3-year mortgage rates shown are the average of the latest advertised fixed-term rates on offer from ANZ, ASB, BNZ, and Westpac for mortgages with a loan-to-value ratio of less than 80 percent. The 4- and 5-year mortgage rates are the average of the latest advertised fixed-term rates on offer from ASB, BNZ, and Westpac.

Figure 3.11
Proportion of new mortgage lending volume by tenor



Source: RBNZ.

Chapter

04

Special topics

Chapter 4.

Special topics

Before the publication of each *Statement*, RBNZ staff provide analyses of some topical issues to the Monetary Policy Committee.

Topics for the May *Statement* included:

1. How does uncertainty affect the New Zealand economy?
2. The transmission of higher global tariffs to the New Zealand economy

Special topics in the past 12 months

Topic	Date/publication
The implications of global tariffs for the New Zealand economy	<u>February 2025 <i>Statement</i></u> (Chapter 4)
Outlook for some of New Zealand's key commodity exports	<u>February 2025 <i>Statement</i></u> (Chapter 4)
Trends in production sectors of the New Zealand economy	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Summary of recent business visits	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Real interest rates and their effect on the economy	<u>November 2024 <i>Statement</i></u> (Chapter 4)
Price-setting behaviour in a low-inflation environment	<u>August 2024 <i>Statement</i></u> (Chapter 4)
Comparing macroeconomic conditions in economies at different stages of monetary policy easing	<u>August 2024 <i>Statement</i></u> (Chapter 4)
Non-tradables inflation in New Zealand	<u>May 2024 <i>Statement</i></u> (Chapter 4)
Recent trends in New Zealand's exporting sector	<u>May 2024 <i>Statement</i></u> (Chapter 4)

1

How does uncertainty affect the New Zealand economy?

Summary

- **Increasing global uncertainty affects the New Zealand domestic economy by influencing the decisions of firms and households.** Under high uncertainty, firms may delay or cancel investment plans. Households may increase their precautionary savings if they are uncertain about their job and income prospects.
- **To assess the effects of greater uncertainty in recent months, we monitor and model the economic effects of different uncertainty measures.** These include measures based on news articles, surveys, and financial market pricing.
- **Our modelling shows that increased uncertainty reduces economic activity through lower business investment and household consumption.** These results are consistent with international evidence and previous RBNZ research.⁸
- **Higher global uncertainty negatively affects New Zealand's output gap, reducing inflationary pressure.** Our central projection assumes that the increase in global uncertainty over the past 6 months reduces the output gap by about 0.3 percentage points by the June 2026 quarter. This effect then wanes. However, estimates based on different uncertainty measures give a wide range of results.
- **All else equal, higher global uncertainty reduces capacity pressure in New Zealand's economy.** This means that, all else equal, lower interest rates are assumed to be required to achieve the MPC's inflation target.

⁸ See Rice A, Vehbi T, and Wong B (2018) 'Measuring uncertainty and its impact on the New Zealand economy', Reserve Bank of New Zealand *Analytical Note* 2018/01, Dibiasi A and Sarferaz S (2023) 'Measuring macroeconomic uncertainty: A cross-country analysis', *European Economic Review* Vol. 153 104413, and Andersson M, Bobasu A, and De Santis R A. (2024) 'What are the economic signals from uncertainty measures?', *ECB Economic Bulletin* Issue 8/2024.

Uncertainty has a range of effects on the New Zealand economy

New Zealand is a small open economy exposed to global economic uncertainty.

Uncertainty around economic developments has its own economic effects, distinct from the underlying cause of the uncertainty. For example, while new tariffs directly affect global trade, the uncertainty around their level and effects will independently have further effects on the economy. This is because uncertainty influences the decisions of firms and households (table 4.1).

When uncertainty is high, most firms are incentivised to wait until uncertainty wanes.

This arises as undertaking new investments or hiring new staff are costly decisions to reverse. Households are incentivised to increase their precautionary savings and reduce spending, if they become uncertain about their job prospects. As uncertainty increases, most firms and consumers find decision-making more difficult. This decreases firm and consumer confidence, and lowers expected future growth.

Table 4.1

Channels through which uncertainty affects the economy⁹

Channel	Reduces	Description
Delaying or abandoning investments	Business investment	Some firms delay investment decisions, or abandon existing investment plans, as they are less sure about future sales and profits.
Credit flows and costs	Credit Business investment	Banks and other lenders reduce the supply of credit as they become less confident about the outlook for firms. This results in lower investment.
Precautionary savings	Consumption	Households reduce spending to increase their savings, as they are less sure about their future income, work prospects, and wealth.
Reduced hiring	Employment	Some firms delay hiring decisions as they are less sure about future sales and profits.
Market dynamism	Productivity	Some firms delay research and development, as they are less sure about future sales and profits. Reduced job switching may lower the quality of labour market matching.

Uncertainty is measured in different ways

Measures of uncertainty have increased over the past 6 months.

Heightened uncertainty about global trade policy has spread to broader economic uncertainty. Table 4.2 summarises the different measures used in modelling the economic effects of uncertainty.¹⁰

⁹ This is not an exhaustive list of channels. There are many other decisions that can be affected by uncertainty and could have important macroeconomic implications. For example, with migration decisions the source of uncertainty is likely to influence migration flows. These changes could be material for small economies like New Zealand where the population is affected by net migration flows.

¹⁰ We also considered other measures of uncertainty, but our modelling focuses on those best able to explain changes in New Zealand economic activity.

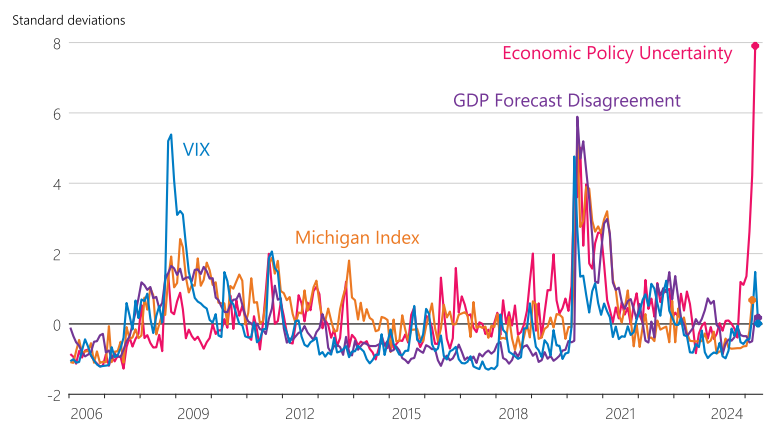
Table 4.2

Measures of economic uncertainty used in RBNZ modelling

Measure	Source	Description
New Zealand QSBO Business Uncertainty	NZIER, RBNZ estimates	A measure of the difference between firms' expectations for a range of outcomes in the next quarter, and what they end up experiencing.
New Zealand Economic Policy Uncertainty	Sense Partners	A measure of uncertainty based on the proportion of news articles that meet specific criteria related to uncertainty and the economy.
GDP Forecast Disagreement (New Zealand and the US)	Consensus Economics, RBNZ estimates	A measure of the dispersion of 1-year ahead GDP forecasts across different professional forecasters.
US VIX	Cboe Global Markets	A measure of market participants' expectations for near-term equity price volatility using option contracts. Commonly used as a measure of investor sentiment and as a proxy for uncertainty.
US Michigan Surveys of Consumers	University of Michigan, RBNZ estimates	A measure based on the proportion of households who report an uncertain future as a reason for not buying cars or other durable goods.
US Economic Policy Uncertainty	Policyuncertainty.com	A measure based on the frequency of terms relating to economic and policy uncertainty in news articles.

Global uncertainty measures, as proxied by measures of US economic uncertainty, have increased. The news-based economic policy uncertainty has increased significantly (figure 4.1). The VIX also increased significantly, although it has since begun to decrease. Consumer uncertainty (Michigan Index) and uncertainty measured by US GDP forecast disagreement have been increasing, but are still well below historical peaks.

Figure 4.1
Measures of US uncertainty
(standardised)



Source: Policyuncertainty.com, University of Michigan, Consensus Economics, Cboe Global Markets, RBNZ estimates.

Note: All measures are standardised in their base frequencies from 1997 to their latest data point.

The QSBO (Quarterly Survey of Business Opinion) business uncertainty and news-based New Zealand economic policy uncertainty measures are both at a high level (figure 4.2). However, the New Zealand GDP forecast disagreement measure has remained at low levels.

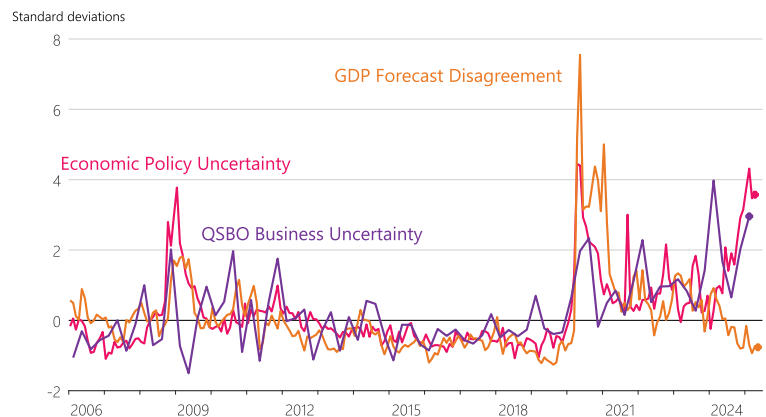
Our projection incorporates judgement about the effects of higher uncertainty

We updated and extended previous RBNZ research that modelled the effects of uncertainty on New Zealand.¹¹ Our modelling suggests that the average maximum effect of a one standard deviation increase in uncertainty reduces the output gap and household consumption by about -0.2 percentage points, and business investment by about -1.3 percentage points. These estimates are similar to international evidence for other economies (figure 4.3).

Our projection assumes higher uncertainty results in a 0.3 percentage point more negative output gap in the June 2026 quarter, with the effect waning over the medium term (see chapter 5). Over the past 3 months, some measures of uncertainty have increased by more than one standard deviation, and some by less. In particular, measures based on news articles have increased significantly more than other measures. Our central projection assumes an effect based on the average of the non-news measures, accounting for the extent of increase in each measure. The estimated effect based on the news measures is larger.

We assume that higher uncertainty creates more spare capacity in the economy, reducing inflationary pressure. All else equal, this means that lower interest rates are required to achieve the MPC's inflation target. However, some uncertainty measures changed little over the past 6 months, while others increased to record levels. Given this variation, estimates have a wide range

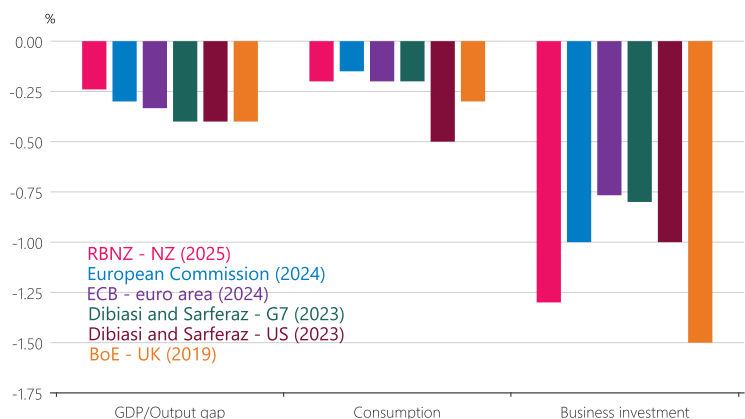
Figure 4.2
Measures of New Zealand uncertainty
(standardised)



Note: All measures are standardised in their base frequencies from 1997 to their latest data point.

Source: NZIER, Sense Partners, Consensus Economics, RBNZ estimates.

Figure 4.3
Average peak response to an increase in uncertainty



Source: European Commission (2024), Andersson, Bobasu, and De Santis (2024), Dibiassi and Sarferaz (2023), Bonciani and Oh (2019), RBNZ estimates.

Note: The response is to a one standard deviation shock in uncertainty. Non-RBNZ research is for different economies and uses a range of uncertainty measures.

of results around our central assumption. We are monitoring timely indicators of the output gap, business investment, and consumption to determine if uncertainty is affecting the economy as assumed in our central projection.

¹¹ Our model is based on Rice A, Vehbi T, and Wong B (2018) 'Measuring uncertainty and its impact on the New Zealand economy'. Reserve Bank of New Zealand *Analytical Note* 2018/01. We updated some modelling assumptions. For example, we added a measure of New Zealand's trading-partner output gap into the model, as global economic developments may affect uncertainty (and vice versa). We also extended the sample period to the end of 2019. This excludes the COVID-19 lockdowns and volatility.



The transmission of higher global tariffs to the New Zealand economy

Summary

- **The US has implemented a range of new tariffs on imports from almost all countries.** Some countries have retaliated. Tariff rates have been adjusted over recent weeks and are likely to continue changing.
- **Higher and more volatile tariffs will affect the New Zealand economy through different channels.** The macroeconomic effects on New Zealand through these channels vary, with some channels presenting greater uncertainty in both their impact and direction than others.
- **Our central projection assumes that higher tariffs and uncertainty will result in weaker economic activity in New Zealand, and lower inflationary pressure.**
- **Our assessment is that the most significant transmission channels from higher tariffs to the New Zealand economy are likely to be higher uncertainty and lower external demand due to lower trading-partner GDP growth.** However, other transmission channels could also prove significant and result in different economic outcomes for New Zealand than currently assumed. These include trade diversion effects, exchange rate movements, reduced demand for imports due to uncertainty, and the potential for higher global production costs. Higher tariffs on New Zealand exports entering the US are likely to directly reduce demand for our exports, although the effect is expected to be relatively small.
- **Both the level of tariffs and economic effects through each channel remain highly uncertain.** There are many future paths the economy could take with different implications for medium-term inflationary pressure. [Box A](#) in chapter 2 presents just two of these possible paths.

Tariffs in the US will affect New Zealand through different channels

Tariffs are a tax imposed by a ‘tariff-imposing’ country on their imports from a ‘tariff-targeted’ country. Tariffs increase the price of imports in the tariff-imposing country and reduce demand for imports from the tariff-targeted country (see [chapter 4.1 of the February Statement](#)).¹² Table 4.3 summarises recent US tariff announcements. While some US tariffs have been targeted at specific goods, most have been implemented as a blanket tariff across all goods from a given country.

Currently, New Zealand goods entering the US are subject to a 10 percent tariff, as is the case for most countries. In April 2025, China, New Zealand’s largest trading partner, was subject to a tariff of 145 percent and responded with retaliatory tariffs on the US of 125 percent. As of 22 May, these have been reduced to 30 and 10 percent, respectively. All tariffs are in addition to any pre-existing tariffs.

¹² The pass-through to increased consumer prices varies as some producers and importers may absorb part of the increased costs.

Table 4.3

Timeline of key US tariff announcements

Date	Target	Tariff
February 2025	Mexico and Canada	A 25% tariff on most goods imports to the US with exceptions for USMCA-compliant goods. ¹³ A 10% tariff on Canadian energy. Canada implemented a 25% retaliatory tariff on some US goods.
	China	The US increased the 10% tariff on Chinese goods to 20%.
	Global	A 25% tariff on steel and aluminium.
March 2025	Global	A 25% tariff on automobiles and auto parts.
April 2025	Global	A baseline 10% tariff on US trading partners (except for Mexico and Canada). The baseline tariff was replaced by a variable rate of 11% to 50% for many trading partners. Later in the month, the higher variable US tariffs on goods were reduced to 10%, except for China. After China's retaliation, US tariffs on Chinese goods rose to 145%, and China's tariffs on US goods to 125%.
May 2025	China	Tariffs on Chinese and US goods were lowered to 30% and 10% respectively.

Note: Country-based tariff rates are in addition to any pre-existing tariffs. For some countries for some product-specific tariffs, levels supersede existing US tariffs on steel and aluminium. This is not an exhaustive list and there are various product-based exemptions.

The economic effects of tariffs depend on various factors, such as how broad-based they are, the substitutability of alternative products, and the nature of existing contractual relationships. The key channels — trade, financial and uncertainty — through which global tariffs will affect growth and inflation in New Zealand are summarised in table 4.4. The financial and uncertainty channels are covered in chapters 3 and 4.1, respectively. This chapter focuses on the trade channel and our assumptions about the aggregate effects across all channels.

¹³ The agreement between the US, Mexico, and Canada (USMCA) is a free trade agreement that has been in effect since 1 July 2020, replacing the North American Free Trade Agreement (NAFTA). This allows tariff-free trade for many goods as long as they meet specific rules.

Table 4.4

How tariffs affect growth and inflation in New Zealand

Channel		Effect on NZ growth	Effect on NZ inflation	Effect on the NZ economy
Trade	Reduced US demand for imports	NZ exports ↓	↓	Higher tariffs on imports to the US directly reduce demand and prices for goods we sell internationally.
		NZ imports ¹⁴ ↕	↓	Tariffs also reduce demand and prices for goods we buy internationally.
	Indirect effects via growth in our trading partners	↓	↓	Declining global growth due to the tariffs and heightened uncertainty will reduce demand for New Zealand’s exports.
	Trade diversion effects	NZ exports ↑	↑	NZ could experience an increase in exports to tariff-imposing countries if the tariffs on our products are lower than those applied to other trading partners, making our exports relatively cheaper.
		NZ imports ¹⁴ ↕	↓	NZ may receive cheaper imports as tariff-targeted exports are redirected towards NZ.
	Global production cost	↕	↑	Tariffs may disrupt existing supply chains, and lead to less efficient production as firms try to avoid tariffs. This may lower global productivity growth and lead to higher import costs over the medium term.
Financial	Exchange rate	↕	↕	Higher global uncertainty tends to cause a depreciation in the New Zealand dollar exchange rate. It may appreciate if the perceived risk of holding US dollars increases, or if global interest rates fall by more than NZ interest rates.
	Interest rates	↕	↕	In the shorter term, there may be upward pressure on interest rates in countries imposing tariffs. Other countries may lower interest rates in response to weaker demand.
	Asset prices	↓	↓	Volatility in asset prices may increase. Slower global growth likely weighs on asset prices.
Uncertainty	Trade policy uncertainty reduces business and consumer confidence	↓	↓	Heightened uncertainty will likely cause New Zealand businesses to defer or cancel investment plans and cause households to spend less.

Note: ↕ indicates that opposing forces create ambiguity about the direction of the net effect.

¹⁴ In the case of import prices there will be offsetting channels to New Zealand growth. Substitution away from domestic production towards cheaper imports may reduce growth. But cheaper imports may also boost supply, increasing growth.

Weaker US demand for imports will reduce prices in global markets

US consumers and businesses will pay higher prices for imported goods and therefore reduce how much they import. This will have a direct effect on New Zealand-US trade. Prior to tariffs, New Zealand's goods exports to the US were worth about NZD 9 billion annually, around 9 percent of our total export value. New Zealand's exports particularly exposed to US tariffs include wine, meat, and some manufactured goods.

Weaker US imports from other countries will also influence global markets for New Zealand's exports and imports. All else equal, weaker US demand will mean lower global prices for products the US typically imports. New Zealand exporters selling these products may receive lower prices in global markets, while New Zealand importers may be able to buy products more cheaply.

US goods imports accounted for about 14 percent of total global goods imports prior to tariff changes. However, when accounting for the particular mix of goods New Zealand sells overseas, the US share of global import demand in New Zealand's goods export markets is only 10 percent on average.¹⁵ This suggests that New Zealand's export markets are relatively less prone to price reductions because of US tariffs compared to other countries. In part, this is because the US does not import significant amounts of dairy products, one of New Zealand's major exports. Some other countries' export products are more dependent on US import demand. For example, the US share of global import demand for the goods Ireland exports is 19 percent on average.

The US accounted for around 16 percent of global imports in New Zealand's goods import markets. This suggests New Zealand's imports are comparatively more exposed to price falls in global markets because of weaker US demand for imports.

US tariffs may help lift New Zealand's terms of trade. However, it is difficult to assess the full magnitude of this effect as direct exposures may not fully represent the final effects as trade patterns adapt.

Weaker global growth will reduce demand in New Zealand's export and import markets

Reduced US demand for imports globally will reduce growth in New Zealand's trading partner economies. Higher uncertainty about future trade policies will also weigh on growth in New Zealand's trading partners through the same channels as discussed in chapter 4.1. This will flow through to weaker demand for New Zealand's exports, and lower than otherwise import prices.

¹⁵ Based on 2023 data from the UN Comtrade Database. The 2023 Comtrade database does not include data from all countries, with some excluded due to reporting gaps or geopolitical factors.

Trade diversion may affect New Zealand's exports and imports, but the net effect is uncertain

The New Zealand economy might also be impacted through trade diversion. Trade diversion can change trade patterns, and occurs when importers and exporters face different tariff rates across countries. For example, US tariffs on Chinese products encourage Chinese exporters to sell manufactured goods in markets other than the US. Similarly, tariffs on the US incentivise Chinese beef importers to buy beef from countries other than the US, such as New Zealand. In isolation, this would benefit New Zealand through cheaper manufactured goods and increased demand for beef. But, US importers will also compete more for manufactured goods in markets other than China's that are subject to lower tariffs (e.g. Vietnam). US exporters will compete more with New Zealand to sell beef in other markets (e.g. Japan).

Trade diversion could affect prices in New Zealand's import and export markets. In the above example, prices for manufactured goods might go up in the Vietnamese market and down in the Chinese market. Beef prices might go up in China but down in Japan.

Trade flows would adjust and there would be little net impact on prices if there were no frictions in global markets. However, there are material frictions to global trade. Transport costs differ across trade routes; products and brands from different countries are not perfectly substitutable; and differences in languages and customs can make new trade relationships difficult to establish.

For New Zealand, the net impact of trade diversion depends on price changes in our key import and export markets, and how export and import volumes adjust in response. Our assessment is that trade diversion is likely to lower import prices and increase export prices. We also expect changes in where New Zealand sends its exports and sources its imports. However, how material these factors are for prices and volumes remains uncertain.

Global production costs may increase, although the impact may be limited for New Zealand

Tariffs increase the cost of imported intermediate inputs required to produce output in the tariff-imposing country. In response, firms in the tariff-imposing country may adjust their production processes to reduce their use of tariffed inputs. These adjustments may be preferable to paying the tariff, but will reduce efficiency and increase production costs. Production costs will be higher, particularly for US producers.

Higher production costs and less efficient global production networks could spill over into other countries. Firms producing for the US market may shift production to countries where production is less efficient but subject to lower tariffs. However, 'global production costs' are not one thing that is experienced in the same way by all countries. Production costs for products destined for New Zealand, for example from Asia, don't have to rise significantly, even if average production costs for US-destined products rise strongly. Where markets are competitive, New Zealand buyers and those who supply them will continue to have strong incentives to secure and produce goods where it is cheapest. There are other factors that may add to higher production costs in the long term, such as lower capital investment resulting in lower potential growth, and adjustments in shipping routes due to changing trade patterns.

Our assessment is that the increase in global production costs faced by New Zealand due to tariffs will be limited. This reflects that production inputs subject to tariffs abroad represent only a small part of the value of New Zealand production and spending, and that the supply of goods from elsewhere to New Zealand may not be materially affected.

Our central projection assumes that US tariffs will reduce growth and inflationary pressure in the New Zealand economy

We assume that, on net, higher US tariffs act like a negative demand shock for New Zealand, reducing economic activity and inflationary pressure. Our current assessment is that tariffs will likely reduce demand for New Zealand's exports. Weaker export demand and the direct effect of high uncertainty weigh on domestic demand, and reduce overall inflationary pressure in New Zealand. Table 4.5 summarises the assessed effect of the transmission channels on prices in New Zealand.

We assume that different channels that affect the cost of New Zealand's imports – acting like a supply shock – net out to have only small overall effects. The channels that may affect our import prices are more mixed. Some channels are likely to increase prices, while others could see them fall. It is difficult at this stage to assess which of these channels will be more important.

Our assessment is that higher global tariffs and uncertainty will result in weaker economic activity in New Zealand, lower imported inflation, and reduced inflationary pressure. We used a range of models and external estimates to inform the direction and magnitude of these judgements. We assume that the most important transmission channels affecting the New Zealand economy are higher uncertainty and lower external demand due to lower trading-partner GDP. However, there are a range of other channels that may result in different outcomes than we anticipate, including trade diversion effects, the potential for higher global production costs, and exchange rate movements. For example, some trade models predict that the New Zealand dollar should depreciate as a result of the tariff increases, but the New Zealand dollar has appreciated in recent months, reducing inflationary pressure.

Tariff settings and how those settings transmit through each channel remain highly uncertain. The central projection in chapter 5 reflects our assumptions about these different channels. Possible scenarios include a larger reduction, no reduction at all, or an increase in inflationary pressure. **Box A** in chapter 2 presents alternative scenarios and how they may affect New Zealand.

Table 4.5

Assessed effect of tariffs on demand and supply in the New Zealand economy

Demand	Supply
Channels increasing inflationary pressure Trade diversion may increase prices for NZ exporters (+)	Channels increasing inflationary pressure Supply chain disruption increases inefficiencies (+) Higher input costs for tariff-imposing economies (+)
Channels reducing inflationary pressure High global uncertainty reduces domestic demand (---) Lower world GDP reduces export demand (---) Higher US tariffs reduce US import demand for products we export (-) A higher TWI makes NZ exports more expensive and less competitive (-)	Channels reducing inflationary pressure Lower trading-partner GDP reduces NZ's import prices (--) Trade diversion decreases prices for NZ imports (-) Higher US tariffs reduce US import demand for products we import (-) A higher TWI makes NZ imports cheaper (-)

Note: + small inflationary impact ++ medium inflationary impact +++ large inflationary impact
 - small disinflationary impact -- medium disinflationary impact --- large disinflationary impact

Chapter

05

Economic projections



Chapter 5. Economic projections

This chapter summarises the central economic projections that MPC considered when making its policy assessment. The projections were finalised on 22 May 2025.

Significant spare capacity has emerged in the New Zealand economy over the past year. This has reduced inflation, which is within the target band. Lower interest rates have begun to support economic growth, although timely indicators of activity suggest that GDP growth is lower than expected.

The central projection assumes US tariff policies as of 22 May. US trade policy is unpredictable, and its effects on the world economy are uncertain. Two alternative scenarios are outlined in chapter 2, [box A](#).

We assume lower growth in our trading partners weighs on export demand (see chapter 4.2). We also assume higher global economic uncertainty causes weaker-than-otherwise business investment and household consumption in New Zealand (see chapter 4.1).

Although the global growth outlook has deteriorated, recent New Zealand export demand has been stronger than expected. All else equal, higher export prices since the February *Statement* are assumed to add to inflationary pressure. However, this is partially offset by a higher New Zealand dollar exchange rate.

Headline inflation is projected to increase but stay within the target band in 2025, before returning near the target mid-point in early 2026. The increase in headline inflation is accounted for by tradables components, including food prices. Non-tradables inflation has continued to decrease, and is approaching a level consistent with headline inflation near the 2 percent target mid-point.

The New Zealand labour market has continued to weaken. The unemployment rate remained at 5.1 percent in the March 2025 quarter, while the employment rate and participation rate decreased. We project the unemployment rate to increase in the near term, before decreasing over the medium term as the output gap recovers. Same-job wage growth has decreased to a level consistent with headline inflation near the target mid-point.

We project the OCR will continue to be reduced. The negative output gap is putting downward pressure on inflation. This is offsetting price-setting behaviour, which is still elevated following the recent period of higher inflation. We assume that price-setting behaviour continues to adapt to a low-inflation environment over the medium term.

The central projection represents what we judge to be the most likely path for the economy, conditional on a range of assumptions. However, it is one of many possible paths. Global economic developments and the evolution of the domestic economy are likely to be different to our central assumptions. As events develop, our central assumptions will change, and we will update the outlook for monetary policy.

Table 5.1

Key projection assumptions

Key assumptions	
Global factors	- The central projection assumes US tariff policies as of 22 May 2025. - We assume tariff policies reduce growth in New Zealand's trading partners by about 0.5 percentage points over the next year. This is expected to dampen demand for New Zealand's exports, all else equal. We used a range of models and external estimates to inform the direction and magnitude of this judgement. - Prices for New Zealand's key commodities have increased substantially over the past 6 months, in part due to low global supply for beef and dairy. This means our outlook for export prices is higher than at the February <i>Statement</i>, despite the weaker outlook for global growth. - World policy interest rates are expected to decrease more quickly than at the February <i>Statement</i>. All else equal, this puts upward pressure on the New Zealand dollar and decreases tradables inflation in New Zealand. - The New Zealand dollar trade-weighted index (TWI) has appreciated about 2 percent since the February <i>Statement</i> and is assumed to remain at 69.0 over the projection.
Economic uncertainty	- Measures of economic uncertainty have increased substantially since the February <i>Statement</i>. Policy uncertainty associated with global trade developments is assumed to have material negative effects on business investment and household consumption in New Zealand, over and above the usual effect of weaker global growth. - We assume that the global uncertainty shock observed in the past few months has an impulse of about -0.3 percentage points on the output gap by the June 2026 quarter, with the effect waning thereafter (see chapter 4.1).
Domestic capacity pressures	- The output gap is assumed to remain low for the remainder of 2025 (-1.6 percent of potential GDP in the September 2025 quarter). We assume that recent weakness in some components of GDP, such as consumption and residential investment, persists. Weaker global growth and higher uncertainty also contribute to a wider output gap. - The output gap is assumed to start recovering in the December 2025 quarter, in response to declining interest rates and the subsiding negative influence of uncertainty (figure 6.2).
Economic growth	
Production	- We assume that GDP growth was 0.4 percent in the March 2025 quarter, and declines to 0.3 percent in the June 2025 quarter. The recovery in economic activity in 2025 is forecast to be slower than in the February <i>Statement</i>, partly due to the weaker global economy and high uncertainty. - Our forecasts for near-term GDP growth account for possible residual seasonality in the headline production measure. Although the headline measure is seasonally adjusted, it currently appears to have a remaining predictable seasonal pattern. This likely reflects challenges with seasonal adjustment following the COVID-19 period and shifts in the industry composition of the economy into industries with strong seasonality. Reported quarterly GDP growth may be overstated in December and March quarters and understated in June and September quarters. - GDP is expected to increase more quickly than potential GDP from 2026 onwards, supported by lower interest rates, waning uncertainty, and recovering international demand. Growth is assumed to be broadly in line with potential over the medium term.

Economic growth (continued)

Consumption	Consumption growth has been below its trend over the past couple of years. We assume subdued consumption growth has continued in the first half of 2025, largely due to its persistence and response to heightened uncertainty. Over the medium term, consumption grows faster than previously assumed as lower interest rates encourage household spending.
Business investment	- Business investment has declined by less than previously assumed over the last 2 years. Business investment increased unexpectedly at the end of 2024. - We assume business investment will remain subdued in the near term due to the negative output gap and elevated uncertainty. - Business investment is expected to recover over the medium term as the effect of uncertainty is assumed to fade and the output gap closes. - We assume the Investment Boost policy causes business investment to be about 2.5 percent higher over the projection. This estimate is calibrated based on Treasury's estimate of a 0.8 percent increase in the capital stock over a 5-year period.
Residential investment	- Residential investment has continued to fall over the past year. Timely indicators including dwelling consents and ready-mixed concrete have shown early signs of recovery in the March 2025 quarter. House sales have been increasing since early 2023. - We assume residential investment will begin to increase in late 2025 in response to lower mortgage rates and increasing house prices.
Government	- Government spending is assumed to be consistent with the fiscal forecasts in <i>Budget 2025</i>. - Government investment is lower in the near term than assumed in the February <i>Statement</i>, given the lower starting point in the December 2024 GDP release. But it is higher in the medium term due to revisions in planned capital spending in <i>Budget 2025</i>. - Government consumption is lower over the projection than assumed in the February <i>Statement</i>, consistent with the downward revision in <i>Budget 2025</i>. - On net, lower government spending reduces inflationary pressure.
Exports and imports	- Export volumes were significantly stronger than expected in the December 2024 quarter, accounted for by both goods and services exports. This strength appears to have continued in the March 2025 quarter. Higher goods export volumes have been broad-based across trade partners and goods categories. Over the medium term, we assume this strength does not persist to permanently higher export volumes (see chapter 4.2 of the May 2024 Statement). - Goods and services export volumes are assumed to return to a similar share of potential GDP as assumed in the February <i>Statement</i>. This accounts for lower global growth, the appreciation of the New Zealand dollar, and higher export prices in foreign currency terms. - Services exports are assumed to decline in the near term and grow slightly more quickly than potential GDP over the medium term. Lower global growth and the higher New Zealand dollar exchange rate weigh on tourism exports relative to the February <i>Statement</i>. - Import volumes were stronger than expected in the December 2024 quarter, consistent with higher business investment in that quarter. Import volumes are assumed to evolve in line with other components of GDP over the medium term.

Labour market

Employment and wages

- Conditions in the New Zealand labour market continued to ease in the March 2025 quarter. Although the unemployment rate was unchanged at 5.1 percent, the employment rate and labour force participation rate fell in the quarter.
- We assume the unemployment rate will reach its peak at 5.2 percent in the June 2025 quarter and remain at this level until the September 2025 quarter, before gradually declining. Greater excess capacity relative to the February *Statement* leads to a slightly higher unemployment rate over the medium term.
- Same-job wage growth decreased to 2.6 percent in the March 2025 quarter. It is assumed to ease due to current weak labour market conditions, consistent with low and stable inflation.

Migration

- Net immigration increased in the March 2025 quarter and was higher than we assumed in the February *Statement*. As a result, we assume New Zealand has passed the trough of this immigration cycle.
- We assume working-age net immigration will decrease slightly until the end of 2025. This reflects weak labour market conditions in New Zealand, especially relative to Australia. As the labour market recovers, net working-age immigration is assumed to gradually increase towards about 32,000 people per year.

Inflation

Headline inflation

- Annual headline CPI inflation increased to 2.5 percent in the March 2025 quarter. **Stats NZ announced on 1 May** that increases in vehicle relicensing fees were erroneously excluded in the March 2025 quarter data. If these data had been included, annual headline inflation would have been 2.6 percent. The price increase will instead be recorded in the June 2025 quarter, and our forecast accounts for this.
- Annual headline inflation is expected to increase to 2.7 percent in the September 2025 quarter before declining to near the target mid-point in the March 2026 quarter.

Non-tradables

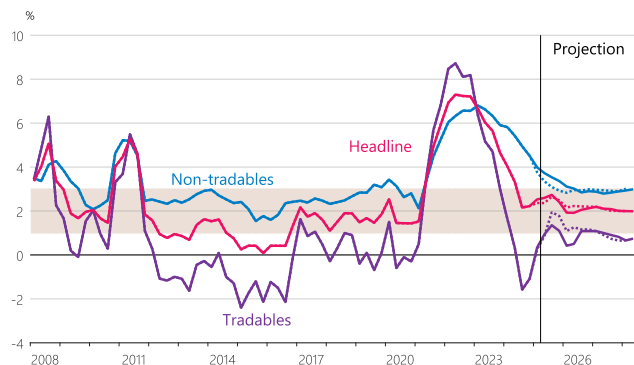
- Annual non-tradables inflation decreased to 4.0 percent in the March 2025 quarter, but was higher than expected in the February *Statement*. We expect the negative output gap to continue to reduce non-tradables inflation as price-setting behaviour continues to adapt to a low-inflation environment. We project annual non-tradables inflation to stabilise around 3 percent from early 2026.
- Administered and policy-affected price changes are having a significant influence on non-tradables inflation, and this is likely to continue over 2025. These include prices such as council rates, electricity lines charges, education fees, and vehicle relicensing fees. In part, this reflects catch-up following relatively low increases in central and local government charges during the recent high inflation period. Central and local government charges, as measured in the Consumers Price Index, increased 10.7 percent in the year to March 2025. Annual non-tradables inflation excluding government charges was 3.0 percent in the March 2025 quarter.

Tradables

- Annual tradables inflation is expected to increase to 1.4 percent in annual terms in the September 2025 quarter before gradually decreasing. In the near term, higher food prices are likely to outweigh lower prices in other tradables items, such as petrol.
- In the medium term, lower petrol prices and a stronger New Zealand dollar exchange rate are expected to put downward pressure on tradables inflation. Oil prices have declined about 10 percent since the February *Statement*. Weaker economic growth in our trading partners also results in slightly lower non-oil import prices.

Charts

Figure 5.1
Inflation components
(annual)



Source: Stats NZ, RBNZ estimates.

Note: Dotted lines show the projections from the February *Statement*. The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 5.2
Private sector LCI wage inflation
(annual)



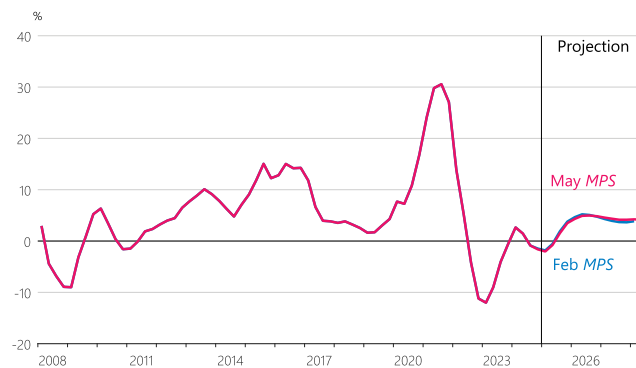
Source: Stats NZ, RBNZ estimates.

Figure 5.3
Unemployment rate
(unemployed people as a share of the labour force, seasonally adjusted)



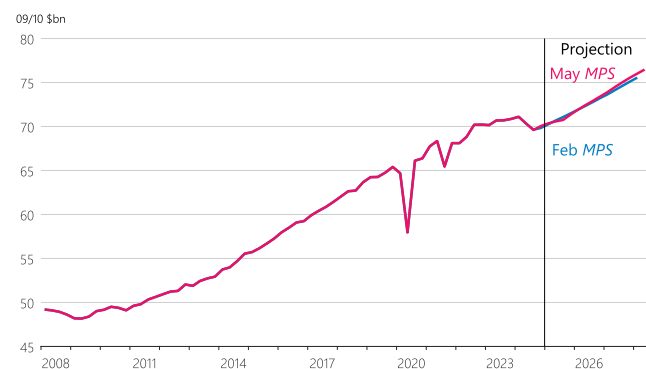
Source: Stats NZ, RBNZ estimates.

Figure 5.4
House price growth
(annual)



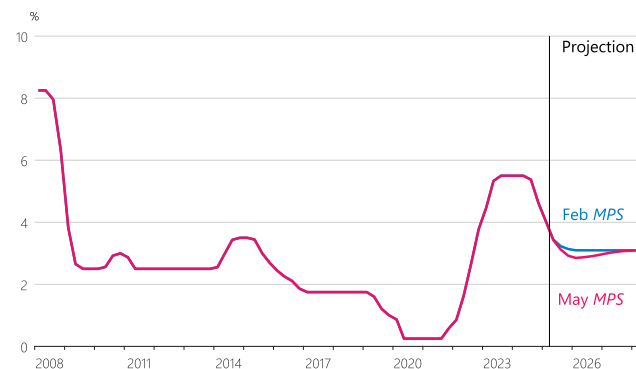
Source: CoreLogic, RBNZ estimates.

Figure 5.5
Production GDP
(quarterly, seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

Figure 5.6
OCR
(quarterly average)



Source: RBNZ estimates.

Chapter

06

Appendices



Chapter 6.

Appendices

Appendix 1: Statistical tables

Table 6.1
Key forecast variables

		GDP growth Quarterly	CPI inflation Quarterly	CPI inflation Annual	Unemployment rate	TWI	OCR
2023	Mar	-0.1	1.2	6.7	3.4	71.3	4.5
	Jun	0.8	1.1	6.0	3.6	71.0	5.3
	Sep	0.0	1.8	5.6	3.9	70.6	5.5
	Dec	0.2	0.5	4.7	4.0	70.8	5.5
2024	Mar	0.4	0.6	4.0	4.4	71.6	5.5
	Jun	-1.1	0.4	3.3	4.6	71.4	5.5
	Sep	-1.1	0.6	2.2	4.8	70.9	5.4
	Dec	0.6	0.5	2.2	5.1	69.5	4.6
2025	Mar	0.4	0.9	2.5	5.1	67.8	4.0
	Jun	0.3	0.5	2.6	5.2	69.0	3.4
	Sep	0.2	0.8	2.7	5.2	69.0	3.1
	Dec	0.9	0.2	2.4	5.1	69.0	2.9
2026	Mar	0.8	0.5	1.9	5.0	69.0	2.9
	Jun	0.7	0.5	1.9	4.9	69.0	2.9
	Sep	0.7	0.9	2.1	4.8	69.0	2.9
	Dec	0.7	0.3	2.1	4.7	69.0	2.9
2027	Mar	0.7	0.5	2.2	4.6	69.0	3.0
	Jun	0.8	0.4	2.1	4.5	69.0	3.0
	Sep	0.7	0.9	2.1	4.4	69.0	3.1
	Dec	0.7	0.2	2.0	4.4	69.0	3.1
2028	Mar	0.6	0.5	2.0	4.3	69.0	3.1
	Jun	0.6	0.4	2.0	4.3	69.0	3.1

Table 6.2

Measures of inflation and inflation expectations

	2023		2024				2025	
	Sep	Dec	Mar	Jun	Sep	Dec	Mar	Jun
Inflation (annual rates)								
CPI	5.6	4.7	4.0	3.3	2.2	2.2	2.5	
CPI non-tradables	6.3	5.9	5.8	5.4	4.9	4.5	4.0	
CPI tradables	4.7	3.0	1.6	0.3	-1.6	-1.1	0.3	
Sectoral factor model estimate of core inflation	5.3	4.6	4.1	3.5	3.3	3.0	2.9	
CPI trimmed mean (30% measure)	5.5	5.0	4.5	3.8	2.7	2.5	2.2	
CPI weighted median	5.0	4.4	4.4	3.5	2.8	2.6	2.2	
GDP deflator (expenditure)	6.4	3.5	3.8	3.0	2.9	4.7		
Inflation expectations – Survey of Expectations (Tara-ā-Pūkenga)								
1 year ahead	4.2	3.6	3.2	2.7	2.4	2.0	2.1	2.4
2 years ahead	2.8	2.8	2.5	2.3	2.0	2.1	2.1	2.3
5 years ahead	2.3	2.4	2.3	2.3	2.1	2.2	2.1	2.2
10 years ahead	2.2	2.3	2.2	2.2	2.0	2.2	2.1	2.2
Inflation expectations – RBNZ Business Expectations Survey (Tara-ā-Umanga)								
1 year ahead					2.2	2.1	2.3	2.4
2 years ahead					2.2	2.2	2.5	2.5
5 years ahead					2.8	2.8	3.0	3.1
10 years ahead					3.1	3.3	3.7	3.9
Inflation expectations – RBNZ Household Expectations Survey (Tara-ā-Whare)								
1 year ahead	6.0	5.5	5.1	5.3	4.1	4.1	4.9	5.6
2 years ahead	3.3	3.2	3.6	3.6	3.1	3.7	3.9	4.7
5 years ahead	1.8	2.1	3.6	3.0	3.4	3.4	3.6	3.7

Table 6.3**Measures of labour market conditions***(seasonally adjusted, changes expressed in annual percent terms, unless specified otherwise)*

	2023		2024				2025
	Sep	Dec	Mar	Jun	Sep	Dec	Mar
Household Labour Force Survey							
Unemployment rate	3.9	4.0	4.4	4.6	4.8	5.1	5.1
Underutilisation rate	10.4	10.7	11.2	11.8	11.6	12.1	12.3
Labour force participation rate	72.0	71.9	71.5	71.6	71.1	70.9	70.8
Employment rate (% of working-age population)	69.2	69.0	68.4	68.3	67.7	67.3	67.2
Employment growth	3.0	2.8	1.0	0.1	-0.6	-1.2	-0.7
Average weekly hours worked	33.5	33.7	33.8	33.2	33.3	33.2	33.0
Number unemployed (thousand people)	119	123	134	143	148	156	156
Number employed (million people)	2.94	2.95	2.93	2.94	2.92	2.91	2.91
Labour force (million people)	3.06	3.07	3.07	3.08	3.07	3.07	3.07
Extended labour force (million people)	3.15	3.16	3.17	3.18	3.16	3.17	3.18
Working-age population (million people, age 15+ years)	4.24	4.27	4.29	4.30	4.31	4.33	4.34
Quarterly Employment Survey — QES							
Filled jobs growth	6.1	4.2	3.6	-0.2	-1.4	-0.9	-1.8
Average hourly earnings growth (private sector, ordinary time)	7.1	6.6	4.9	4.0	3.2	4.0	3.8
Other data sources							
Labour Cost Index growth, adjusted (private sector, ordinary and overtime)	4.1	3.9	3.8	3.6	3.3	3.0	2.6
Labour Cost Index growth, unadjusted (private sector, ordinary time)	5.7	5.7	5.2	4.8	4.5	3.9	3.7
Estimated net working-age immigration (thousands, quarterly)	23.9	13.4	8.0	5.3	1.3	3.5	7.8
Change in All Vacancies Index*	-27.9	-27.6	-27.3	-33.4	-31.4	-27.2	-21.7

Note: The All Vacancies Index is produced by MBIE as part of the monthly Jobs Online report, which shows changes in job vacancies advertised by businesses on internet job boards. The unadjusted labour cost index (LCI) is an analytical index that reflects quality change in addition to price change (whereas the official LCI measures price changes only). For definitions of underutilisation, the extended labour force, and related concepts, see Statistics New Zealand (2016), 'Introducing underutilisation in the labour market'.

* The All Vacancies Index is a non-seasonally adjusted series.

Table 6.4

Composition of real GDP growth

(annual average percent change, seasonally adjusted, March years, unless specified otherwise)

March year	Actuals							Projection			
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Final consumption expenditure											
Private	4.8	4.5	2.4	0.2	6.4	3.3	1.0	0.1	1.8	2.8	2.7
Public authority	3.8	3.3	5.5	7.0	8.0	2.6	2.0	-0.9	-0.8	-0.1	0.5
Total	4.6	4.3	3.1	1.8	6.8	3.2	1.3	-0.2	1.1	2.1	2.2
Gross fixed capital formation											
Residential	-1.8	-0.1	2.7	2.2	2.6	-2.0	-5.5	-11.7	-1.7	12.5	11.5
Other	9.8	7.0	2.8	-2.3	11.3	5.0	0.2	-3.3	-0.9	6.6	5.6
Total	6.6	5.2	2.8	-1.2	9.1	3.3	-1.1	-5.1	-1.0	7.8	6.8
Final domestic expenditure	5.0	4.5	3.0	1.1	7.3	3.2	0.7	-1.3	0.7	3.4	3.3
Changes in inventories*	0.2	-0.2	-0.2	-0.3	0.6	0.3	-1.6	0.3	0.8	0.0	0.0
Gross national expenditure	5.5	4.3	2.7	-0.1	8.5	3.7	-0.8	-0.8	1.2	3.4	3.3
Exports of goods and services	3.8	3.3	0.2	-17.9	2.5	5.6	8.3	3.9	3.2	1.3	2.2
Imports of goods and services	7.8	4.8	1.4	-15.8	17.1	4.5	-1.2	2.3	1.5	3.7	3.9
Expenditure on GDP	4.3	3.9	2.4	0.2	4.6	3.9	1.4	-0.6	1.6	2.8	2.8
GDP (production)	3.4	3.5	2.3	-0.3	4.6	3.5	1.4	-1.1	1.5	2.8	2.9
GDP (production, March qtr to March qtr)	3.5	3.5	0.7	4.7	0.5	3.0	1.4	-1.1	2.2	2.8	2.8

* Percentage point contribution to the growth rate of GDP.

Table 6.5

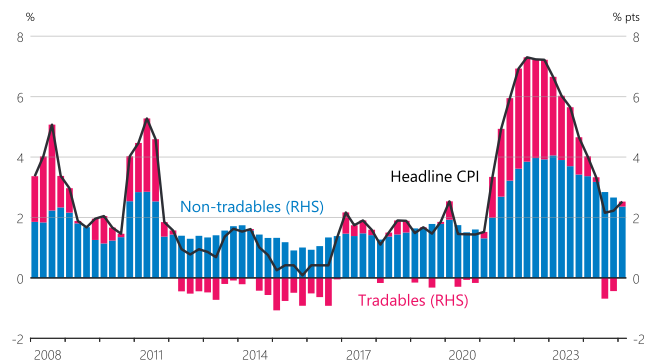
Summary of economic projections

(annual percent change, March years, unless specified otherwise)

March year	Actuals								Projection		
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Price measures											
CPI	1.1	1.5	2.5	1.5	6.9	6.7	4.0	2.5	1.9	2.2	2.0
Labour costs	1.9	2.0	2.4	1.6	3.1	4.5	3.8	2.6	2.0	2.2	2.2
Export prices (in New Zealand dollars)	3.4	1.3	7.0	-5.9	21.0	1.2	-2.1	10.1	0.4	0.1	1.3
Import prices (in New Zealand dollars)	1.7	4.1	2.5	-2.3	19.0	8.2	-3.7	2.8	-3.4	0.5	1.1
Monetary conditions											
OCR (year average)	1.8	1.8	1.2	0.3	0.5	3.1	5.5	4.9	3.1	2.9	3.1
TWI (year average)	75.6	73.4	71.7	72.4	74.0	71.2	71.0	69.9	69.0	69.0	69.0
Output											
GDP (production, annual average % change)	3.4	3.5	2.3	-0.3	4.6	3.5	1.4	-1.1	1.5	2.8	2.9
Potential output (annual average % change)	3.2	3.1	2.6	0.0	2.0	3.4	2.7	1.7	1.6	2.1	2.4
Output gap (% of potential GDP, year average)	0.4	0.8	0.5	0.1	2.7	2.9	1.6	-1.1	-1.2	-0.5	0.0
Labour market											
Total employment (seasonally adjusted)	2.9	1.5	2.6	0.2	2.5	3.1	1.0	-0.7	1.8	2.4	2.1
Unemployment rate (March qtr, seasonally adjusted)	4.4	4.2	4.2	4.6	3.2	3.4	4.4	5.1	5.0	4.6	4.3
Trend labour productivity	0.6	0.7	0.8	0.8	0.6	0.4	0.2	0.2	0.2	0.3	0.4
Key balances											
Current account balance (% of GDP)	-3.1	-3.9	-2.4	-2.6	-6.7	-8.6	-6.6	-5.3	-2.3	-2.7	-3.2
Terms of trade (SNA measure, annual average % change)	4.5	-2.1	2.0	-1.0	0.4	-5.1	-1.3	4.2	7.4	0.0	-0.1
Household saving rate (% of disposable income)	-2.0	-1.3	1.4	7.6	2.4	-3.0	-1.8	-1.5	-0.6	-1.2	-1.9
World economy											
Trading-partner GDP (annual average % change)	4.0	3.5	1.8	-0.4	6.3	3.0	3.2	2.9	2.1	2.9	2.9
Trading-partner CPI (TWI-weighted)	1.9	1.4	2.4	0.8	4.1	4.8	2.2	1.8	2.3	1.9	2.1

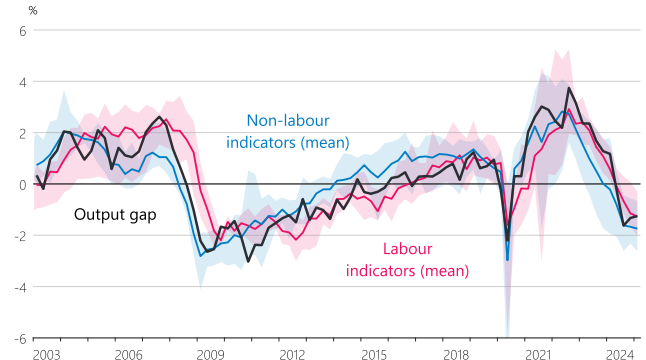
Appendix 2: Chart pack

Figure 6.1
Composition of CPI inflation
(annual)



Source: Stats NZ.

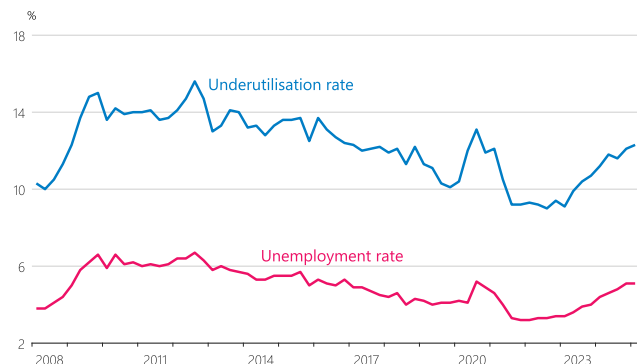
Figure 6.2
Output gap and output gap indicators
(share of potential)



Source: NZIER, MBIE, Stats NZ, RBNZ estimates.

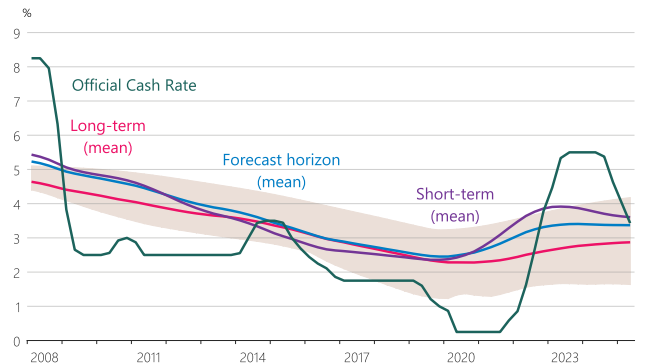
Note: The output gap indicators based on information from labour market surveys are shown separately from the other indicators. For each group of indicators, the shaded area shows the range of values and the line shows the mean value. The output gap estimate in the final quarter is based on our near-term GDP estimate.

Figure 6.3
Unemployment and underutilisation rates
(seasonally adjusted)



Source: Stats NZ.

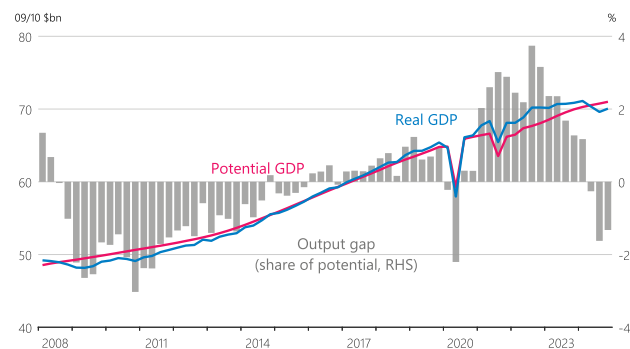
Figure 6.4
OCR and nominal neutral OCR indicator suite
(quarterly average)



Source: RBNZ estimates.

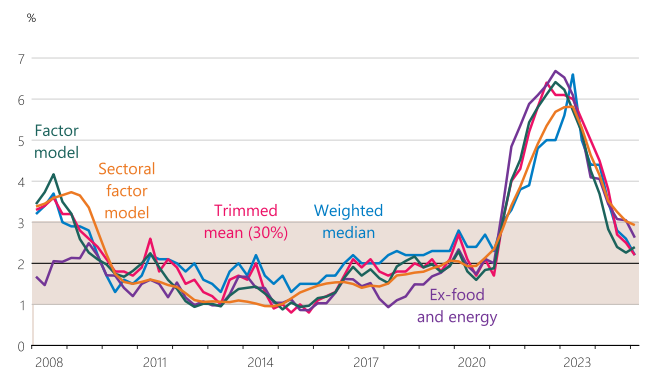
Note: The shaded area indicates the range between the maximum and minimum values from our suite of long-run nominal neutral OCR indicators. See [Castaing et al. \(2024\)](#), 'Estimates of New Zealand's nominal neutral interest rate', *Bulletin*, Reserve Bank of New Zealand.

Figure 6.5
GDP and potential GDP
(seasonally adjusted)



Source: Stats NZ, RBNZ estimates.

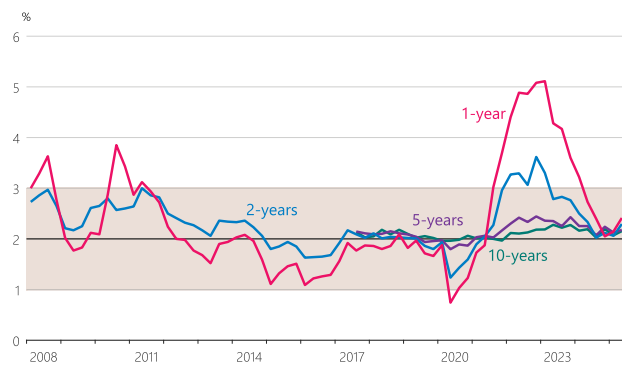
Figure 6.6
Measures of core inflation
(annual)



Source: Stats NZ, RBNZ estimates.

Note: Core inflation measures exclude the GST increase in 2010. The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

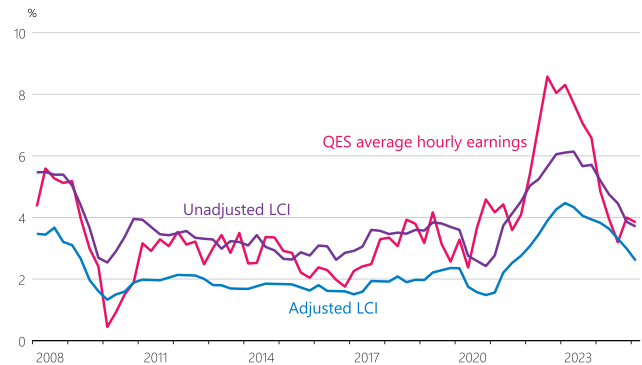
Figure 6.7
Inflation expectations
(annual, years ahead)



Source: RBNZ Survey of Expectations.

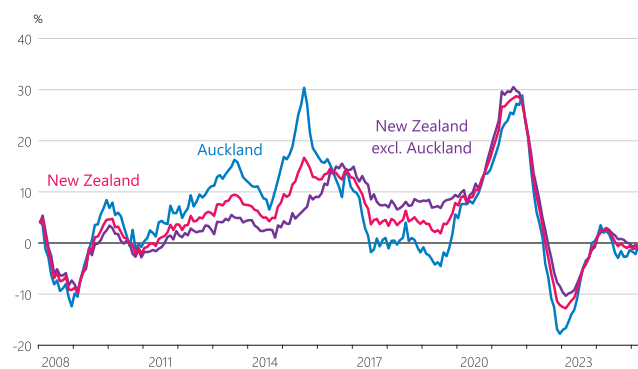
Note: The shaded area represents the MPC's 1 to 3 percent target range for annual CPI inflation over the medium term.

Figure 6.8
Private sector wage growth
(annual)



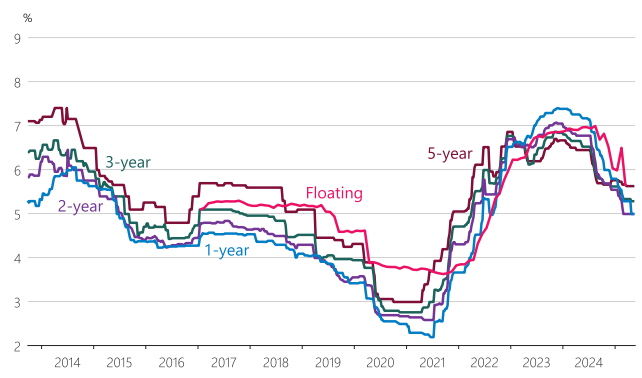
Source: Stats NZ.

Figure 6.9
House price inflation
(annual)



Source: REINZ.

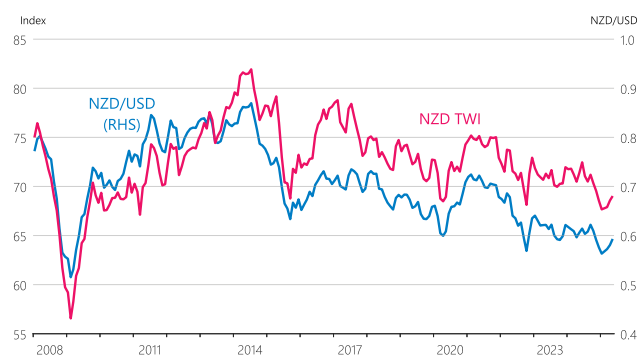
Figure 6.10
Mortgage interest rates



Source: interest.co.nz, RBNZ estimates.

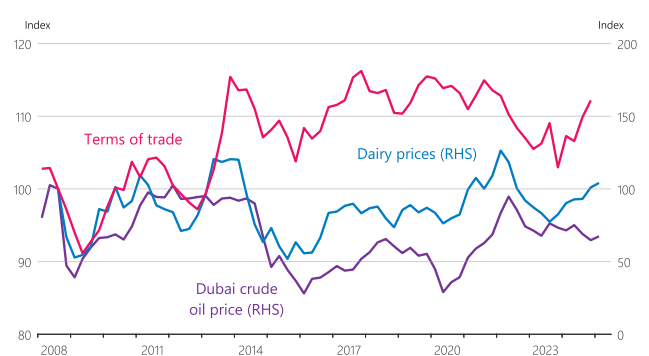
Note: The rates shown for the fixed terms are the average of the advertised rates from ANZ, ASB, BNZ, and Westpac, shown as weekly data. The floating rate represents the monthly yield on floating housing debt from the RBNZ Income Statement survey.

Figure 6.11
New Zealand dollar exchange rates
(monthly average)



Source: NZFMA, RBNZ.

Figure 6.12
Terms of trade, dairy, and oil price indices
(index = 100 in the September 2008 quarter, quarterly average)



Source: Stats NZ, Global Dairy Trade, Bloomberg, RBNZ estimates.



Reserve Bank
of New Zealand
Te Pūtea Matua

